EQUITY RESEARCH REPORT · INITIATING COVERAGE

Adani Ports and Special Economic Zone Ltd

India's largest port operator, priced for a terminal value it has not yet earned

About the company

Adani Ports and Special Economic Zone Limited (APSEZ) is India's largest private port operator and, on its own framing, an integrated transport utility. It handles third-party cargo across 15 domestic ports and terminals with 653 MMT of installed capacity, together with four international assets, North Queensland Export Terminal in Australia, Colombo West International Terminal, Haifa in Israel and Dar es Salaam in Tanzania, adding a further 144 MMT.

In FY26 the company moved **500.8 MMT** of port cargo, the first Indian operator to cross 500 MMT in a single year, taking a **27.1%** share of all-India cargo and **45.5%** of containers. Revenue of **INR 38,736 Cr** was up 25%, EBITDA of INR 22,851 Cr up 20%, and PAT of INR 12,782 Cr up 16%, each ahead of guidance.

Two adjacent segments extend the same cargo flow. Logistics moves freight by rail, truck and warehouse across 95% of India's hinterland; Marine provides towage, dredging and vessel services with 135 owned vessels. A land bank adjacent to the ports and the Mundra SEZ generates lease and development income. The four segments are economically very different animals: EBITDA margins run from 19.3% in Logistics to 73.2% in Domestic Ports.

The promoter group holds 66.03% with **none of it pledged**. The December 2025 NQXT acquisition was share-funded, issuing 143,820,153 shares, 6.24% of the company, to a promoter-group vendor.

Investment thesis

APSEZ is a high-quality business at an uncomfortable price. FY26 operating performance was strong, 59.0% EBITDA margin, CFO of INR 20,356 Cr, net debt/EBITDA down to 1.9x, and forensic screens that pass on every accrual and cash-conversion test. The difficulty is in the valuation arithmetic. A five-year DCF of the linked three-statement model's free cash flow returns **INR 563** per share against a market price of INR 1,695, because the company is mid-way through an INR 87,000 Cr capital programme whose returns land largely beyond the forecast horizon, and its recent return on capital (10.5%) sits below its cost of capital. Terminal value is 73.6% of enterprise value, and the perpetuity implies an exit multiple of just **4.6x EV/EBITDA** against a 14.6x peer median. Run the same model to a 14.0x exit and it returns INR 1,667, so the market price holds only on an exit-multiple convention. That convention assumes the Mundra concession, which expires **16 February 2031**, is renewed on comparable terms. The annual report nowhere discloses that renewal is secured. We set a target of INR 1,195 on a 10.0x exit multiple, a ~32% discount to peers for unsecured renewal, adverse segment mix and the standing group governance discount. **SELL.**

Key highlights

- Cargo **500.8 MMT** (+11%); revenue **INR 38,736 Cr** (+25%), EBITDA INR 22,851 Cr (+20%), PAT INR 12,782 Cr (+16%), all ahead of guidance.
- Domestic utilisation is only **69.1%** (451.0 MMT on 653 MMT capacity), so growth need not wait on new capacity.
- Management missed its own cargo guidance in **three of the last four years**, yet beat revenue guidance in all four.
- Capex overshot guidance by **65% in FY24 and 33% in FY26**; a ±5 pp capex move is worth INR 121 a share.
- Effective tax rate of **13.9%** against a 25.17% statutory rate, on SEZ and port tax relief of undisclosed duration.
- Promoter pledge is **nil**; the 6.24% NQXT consideration block is 100% locked in.
- Trades at **19.2x EV/EBITDA** against a 14.6x port-peer median, a 32% premium.

RECOMMENDATION	
Rating	**SELL**
CMP	**INR 1,695**
Target price	**INR 1,195**
Downside	**-29.5%**

STOCK DATA AS ON 7 AUG 2026	
52W H/L (INR)	**1,892 / 1,290**
Mkt cap (INR Cr)	**3,90,521**
O/S shares (Cr)	**230.40**
Dividend yield	**0.44%**
NSE / BSE	**ADANIPORTS / 532921**
ISIN	**INE742F01042**
Sector	**Ports & logistics**

SHAREHOLDING (%), 30 JUN 2026	
Promoters	**66.03**
FII	**15.58**
DII	**13.60**
Public	**4.79**
Pledged	**Nil**
Shareholders	**10,72,323**

FINANCIAL SUMMARY

INR Cr	FY26	*FY27E*	*FY28E*
Net revenue	38,736	*47,021*	*53,144*
YoY growth	27.1%	*21.4%*	*13.0%*
EBITDA	22,868	*27,507*	*30,823*
EBITDA margin	59.0%	*58.5%*	*58.0%*
PAT	12,806	*13,709*	*16,029*
EPS (INR)	**55.6**	***59.5***	***69.6***

Tinted columns are model projections.

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Global economy

The IMF's April 2026 *World Economic Outlook* is subtitled *Global Economy in the Shadow of War*, and the framing matters for a company whose revenue is a derivative of seaborne trade. Global growth is projected at **3.1% in 2026** and 3.2% in 2027, on the explicit assumption that the Middle East conflict remains limited in duration and scope. The Fund publishes two alternatives against that baseline: an adverse case at **2.5%** and a severe case at **2.0%**. A 110 bp spread between baseline and severe is wide for a WEO round.

Emerging market and developing economies are marked at **3.9%** for 2026, cut from 4.2% in the January update. The Fund notes the slowdown and the inflation impulse are both more pronounced in EMDEs than in advanced economies, the opposite of the 2021 to 23 pattern, and a function of energy import exposure.

India is the outlier. WEO 2026, which on the Fund's fiscal-year convention for India means **FY27**, carries a growth forecast of **6.5%**, leaving India the fastest-growing major economy by a wide margin. Readers should note the labelling trap: a bare 'WEO 2026' for India reads one year early.

For APSEZ the relevant transmission runs through trade volume and routing rather than GDP. Conflict in the Red Sea and the Gulf lengthens voyages, raises war-risk insurance and pushes transhipment away from contested lanes, which is simultaneously a volume risk on the import bill and a share opportunity for Colombo and Vizhinjam.

WORLD	EMDE	INDIA (FY27)
3.1%	**3.9%**	**6.5%**
real GDP growth	emerging and developing	fiscal year basis

Source: IMF World Economic Outlook, April 2026

Read-through: India is forecast to grow at more than twice the world rate and 2.6 pp faster than the EMDE aggregate, so the domestic cargo base compounds against a decelerating global backdrop.

Indian economy

CPI INFLATION	WPI INFLATION	REPO RATE	10Y G-SEC
4.38%	**9.87%**	**5.25%**	**6.78%**
Jun-26 y/y, MoSPI	Jun-26 y/y, fuel +27.4%	held, 5 Aug 2026	risk-free anchor

Source: MoSPI, PIB, RBI; observations June to August 2026

Read-through: a 5.5 pp wedge between WPI at 9.87% and CPI at 4.38% is an energy shock working through the producer price chain rather than demand-led inflation. The four rates measure different quantities, so they are shown as indicators rather than on one axis.

India grew **7.4%** in FY26 on the NSO first advance estimate. Retail inflation was **4.38%** in June 2026, up from 3.93% in May, with food at 5.32%. That is comfortably inside the RBI's tolerance band, and the Monetary Policy Committee held the repo rate at **5.25%** on 5 August 2026 for a fourth consecutive meeting. The ten-year G-sec eased about 3 bp to **6.78%** on the announcement, the rate we use as the risk-free anchor in the WACC.

The wholesale series tells a different story. WPI inflation was **9.87%** in June against 9.68% in May, with Fuel and Power up **27.41%** year on year. Brent stood at USD 83.34/bbl on 6 August. A retail print inside the band alongside a near-double-digit wholesale print is the signature of an imported energy shock that producers have not yet passed on.

The external account is where this shows up for a port operator. India ran a current account deficit of just **0.6% of GDP** in FY26, Q4 was actually a USD 7.1 bn surplus, but consensus expects that to widen toward 2.3% in FY27 on the energy import bill. The rupee at **INR 95.24** to the dollar reflects the same pressure.

A widening CAD is not straightforwardly bad for APSEZ. Import tonnage is cargo. The risk is not the deficit itself but a policy response that compresses import volumes, or a crude price that destroys the industrial demand behind bulk cargo.

Global port industry

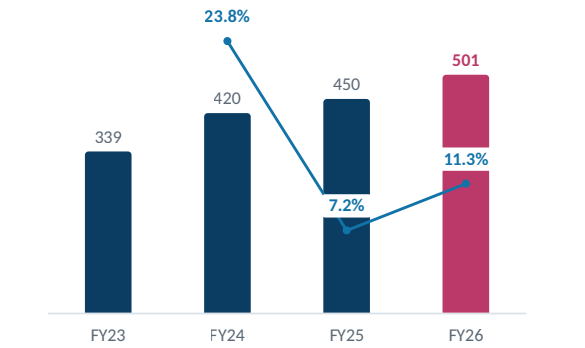
Container shipping and bulk terminal operation are consolidated, capital-intensive and structurally regional. The global operator set is dominated by a handful of names, PSA, Hutchison, DP World, APM Terminals, COSCO Shipping Ports and Terminal Investment Ltd, each running concession portfolios across multiple jurisdictions. APSEZ is not yet in that group by international footprint, but at 500.8 MMT of throughput it is comparable on volume to several of them.

Three forces define the current cycle. First, **route disruption**: Red Sea transits have been materially reduced since 2024, pushing Asia–Europe traffic around the Cape and adding roughly 10 to 14 days per voyage. That absorbs vessel capacity, firms freight rates and shifts transhipment demand toward South Asian hubs. Second, **alliance restructuring** among the major lines, which changes which hub ports get called. Third, **nearshoring and China+1**, which is slowly redistributing manufacturing toward South and South-East Asia.

All three favour an Indian operator with deep-water transhipment capability. Vizhinjam, which reached 1 million TEU within a year of opening and hit 100% utilisation in its ninth month, exists to capture cargo that currently transships at Colombo, Singapore and Jebel Ali.

The counterweight is that concession-based infrastructure is a political asset. Haifa, Dar es Salaam and Colombo each sit in jurisdictions where a change of government can reopen settled terms, a risk a domestic manufacturer does not carry.

APSEZ cargo volume and growth



Source: APSEZ investor presentations; Ambition 2031 deck p. 33

Read-through: Volume compounded 13.9% a year from FY23 to FY26, but the FY26 increment was flattered by NQXT: domestic volume grew only 5%.

Indian port industry

FY25	FY26
855 MMT	**915 MMT**
12 major ports	+7.0% YoY, record

Source: Ministry of Ports, Shipping and Waterways; IBEF

Read-through: The state-owned major ports grew 7% to a record 915 MMT in FY26, faster than APSEZ's 5% domestic growth, which means APSEZ lost a little ground in the domestic half of the market it does not dominate.

India's 12 government-owned major ports handled a record **915.17 MMT** in FY26, up about 7% and ahead of a 904 MMT target. Overseas traffic grew 6.6% and coastal 8.0%. Deendayal was the largest at 160.11 MMT, followed by Paradip at 156.45 MMT and JNPA at 102.01 MMT. For scale, **APSEZ's Mundra alone moved 192 MMT**, more than any single major port.

The major ports are only part of the market. APSEZ reports a **27.1%** share of all-India cargo against domestic volume of 451.0 MMT, which implies a total market of roughly 1,664 MMT. That implied figure is a derivation from a company-reported share rather than an independently published statistic, so we treat it as indicative.

Policy is supportive. The **Maritime Amrit Kaal Vision 2047** sets out a long-run build-out of capacity, connectivity and shipbuilding; Sagarmala continues to fund port-led industrialisation and last-mile rail. Foreign direct investment is permitted at 100% on the automatic route for port construction and maintenance, and the sector carries a **ten-year tax holiday** for developing, maintaining and operating ports, the source of APSEZ's 13.9% effective rate.

Container traffic is the growth pocket, with industry estimates of a **7 to 9% CAGR** to 2030 against low-single-digit bulk. APSEZ's 45.5% container share is therefore worth more than its 27.1% headline share suggests.

Industry growth drivers (1/3), trade volume and containerisation

The first driver is simple arithmetic: Indian trade tonnage grows faster than Indian GDP, and container tonnage grows faster than trade. India's container penetration remains low against comparable economies, so containerisation is a mix shift that lifts realisation per tonne independently of volume.

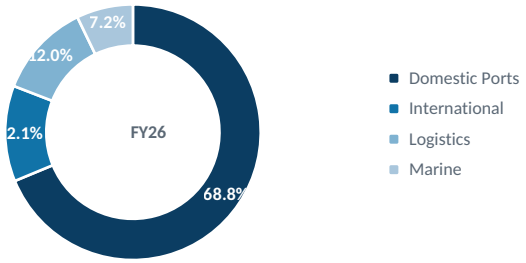
APSEZ's own numbers show it. FY26 domestic cargo grew **5%** to 451.0 MMT while containers grew **9%** to 12.3 MTEU. Container market share held at 45.5% while overall share moved only 10 bp to 27.1%. Growth is coming from higher-realisation cargo rather than from raw tonnage.

This matters for the forecast because container cargo carries materially higher revenue per tonne than dry or liquid bulk. Our blended domestic realisation assumption of INR 571/tonne rising ~3% a year is, in effect, a mix assumption as much as a pricing one.

What we assume

- Domestic volume CAGR of **8.6%** FY26–FY31, against 5% delivered in FY26.
- Realisation growth of ~3% a year, below the 7 to 9% container traffic CAGR the industry expects.
- Utilisation held broadly flat at 68 to 69.5%, because new capacity ramps rather than filling on commissioning.

Segment revenue mix, FY26

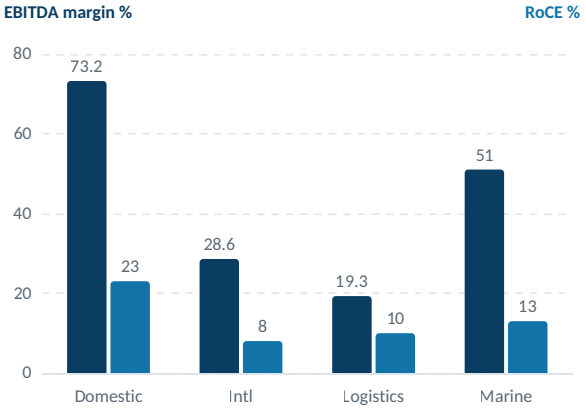


Source: APSEZ FY26 media release segment table

Read-through: Domestic Ports still contributes two-thirds of revenue, so a 5% domestic volume year caps what the faster-growing segments can do to the consolidated line.

Industry growth drivers (2/3), capacity build-out and policy

Segment EBITDA margin and RoCE, FY26



Source: APSEZ FY26 media release segment table (management-defined, unaudited)

Read-through: The segments growing fastest earn the lowest returns: International at 8% RoCE and Logistics at 10% against Domestic Ports at 23%, so the mix shift dilutes group returns.

APSEZ plans to take domestic capacity from **653 MMT to 1 billion tonnes**, supported by INR 60,000 to 63,000 Cr of domestic port capex over FY27–FY31. Brownfield expansion at Mundra, Dhamra, Ennore, Kattupalli and Hazira does most of the work; Vizhinjam and Colombo phase 2 begin in October 2027.

The strategic logic is sound. Brownfield capacity at an operating port is cheaper per tonne than greenfield, arrives faster, and lands on existing hinterland connectivity. Utilisation at 69.1% also means the company can absorb near-term demand without the capex, the build-out serves the decade rather than the year.

Our reservation concerns returns rather than capability. The total plan is **INR 84,000 to 92,000 Cr** across four segments, and the allocation is revealing: Marine takes INR 11,000 to 13,000 Cr to add INR 3,300 Cr of revenue by FY31, the heaviest capital intensity per rupee of incremental revenue in the plan. International takes INR 6,000 to 7,000 Cr into a segment currently earning **8% RoCE**.

Group RoCE improved to 16% in FY26 from 15%. Sustaining that while directing capital into 8 to 10% RoCE segments requires the domestic base to keep improving. That is the central operational tension in the plan.

Industry growth drivers (3/3), transhipment and route disruption

The third driver is the hardest to model. Roughly a quarter of India-origin container cargo has historically transhipped through foreign hubs, principally Colombo, Singapore and Jebel Ali, because Indian ports lacked the draft and crane capability for the largest vessels. Vizhinjam changes that.

Vizhinjam handled **1 million TEU inside its first year** and reached 100% utilisation in its ninth month of operations. Colombo West, in which APSEZ holds the operating stake, passed the same 1 million TEU milestone. APSEZ therefore sits on **both sides** of the India–Sri Lanka transhipment trade, which is an unusual and durable position: cargo that leaves Vizhinjam for Colombo is still APSEZ cargo.

Route disruption compounds this. The company's own MD&A notes that Red Sea conditions have *pushed up war-risk insurance premiums and forced some shipping lines* to reroute. Longer voyages absorb global vessel capacity and make regional hub calls more valuable.

Why we do not model it explicitly

Transhipment share gain is real but unquantified in disclosure. There is no published series for APSEZ transhipment volumes, and the international segment's FY26 numbers are distorted by NQXT's part-year consolidation. We therefore let it sit inside the International utilisation path (34.6% rising to 70%) rather than claiming a separate driver we cannot evidence.

VIZHINJAM YEAR ONE	COLOMBO WEST	Q1 FY27 INTL VOLUME	INTL UTILISATION FY26
1 mn	**1 mn**	**22.8**	**34.6%**
TEU, 100% utilisation in month 9	TEU, first year	MMT, vs 7.7 a year earlier	on 144 MMT capacity

Source: FY26 annual report; Q1 FY27 operational highlights

Read-through: both transhipment assets filled inside a year, which is why the International utilisation path rises from 34.6% to 70% by FY31 without a separate transhipment driver the disclosure could not support.

Industry risks and headwinds

Concession renewal

Indian port concessions are finite. APSEZ's Mundra concession runs 30 years from 17 February 2001 and therefore expires **16 February 2031**, with the CT-1 and CT-3 sub-concessions co-terminus. Only the West Basin extension runs to 2040. Mundra is 274 MMT of 653 MMT of domestic capacity and 192 MMT of throughput. No renewal disclosure appears anywhere in the FY26 annual report.

Energy and freight cost pass-through

WPI Fuel and Power inflation of 27.41% raises the cost of tugs, cranes, rail haulage and dredging. Port tariffs at non-major ports are contractually reset rather than continuously repriced, so a fuel shock compresses margin before it passes through.

Regulatory and political

Four international assets sit in four jurisdictions. Haifa and Dar es Salaam in particular carry political risk with no domestic analogue. The Vizag arbitration, concluded in APSEZ's favour in August 2025 with an INR 192.60 Cr award, is a reminder that concession disputes are a normal feature of the business.

Cargo concentration

Coal and other dry bulk remain a large share of throughput. NQXT is explicitly a coal export terminal. Energy transition is a slow but directional headwind to that tonnage, and financing for coal-linked infrastructure is increasingly constrained.

Competitive response

JSW Infrastructure is expanding aggressively and grew FY26 revenue 20%. The major ports grew 7% in FY26, faster than APSEZ's 5% domestic growth. APSEZ's share gain of 10 bp in a record year is thin.

Group governance

The market has applied a discount to Adani entities since January 2023. It has narrowed but not disappeared, and it is a live input to the equity risk premium a buyer demands. The NQXT acquisition, a share-funded purchase from a promoter-affiliated seller, cleared by majority-of-minority, is exactly the transaction type that keeps it alive.

Company history

- **1998**, Incorporated 26 May as Gujarat Adani Port Ltd; registered office Ahmedabad.
- **2001**, Concession agreement signed with Government of Gujarat and Gujarat Maritime Board for Mundra, 30 years from 17 February 2001.
- **2003**, Sub-concession for container terminal CT-1 transferred to Mundra International Container Terminal Ltd, co-terminus with the Mundra concession.
- **2007**, Listed on NSE and BSE; India's first port-based multi-product SEZ established at Mundra.

2011, CT-3 developed with Adani International Container Terminal, a 50:50 joint venture with MSC's Mundi Ltd. Wandh coal terminal commercially operational.

2015 to 20, Portfolio expansion along both coasts, Dhamra, Kattupalli, Krishnapatnam, Dighi, building a pan-coastal network.

2021 to 23, Gangavaram and Karaikal acquired. January 2023 short-seller report triggers a severe de-rating across Adani entities; promoter pledges subsequently unwound.

2024, Haifa Port (Israel) operational. Logistics and Marine built out as distinct verticals.

2025, Vizhinjam, India's first deep-water transhipment port, commences operations and reaches 100% utilisation in month nine. Colombo West International Terminal starts up. NQXT acquisition announced.

Dec 2025, NQXT Australia acquisition completed, 100% interest, settled in 143,820,153 new shares to a promoter-group vendor.

FY26, First Indian operator to cross 500 MMT of port cargo in a year. Revenue INR 38,736 Cr, EBITDA INR 22,851 Cr, both ahead of guidance.

Source: FY2025-26 annual report; company media releases; exchange filings

Business overview

APSEZ describes itself as an integrated transport utility. Operationally it is four businesses sharing one cargo flow.

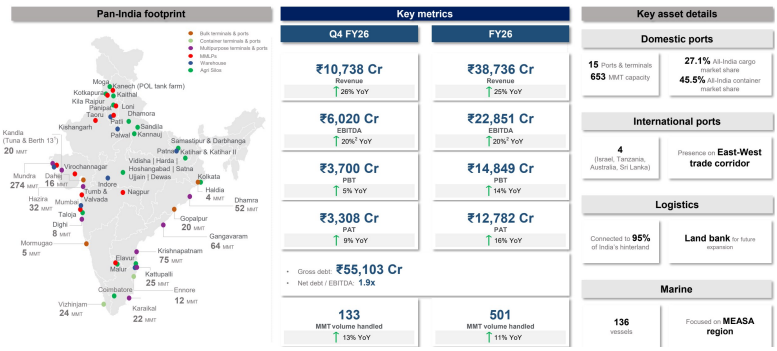
Domestic Ports and SEZ, INR 25,755 Cr of FY26 revenue, 66.5% of the total, at a **73.2% EBITDA margin** and 23% RoCE. Fifteen ports and terminals, 653 MMT of capacity, 451.0 MMT handled. This is the franchise: near-monopoly positions on specific hinterlands, concession-protected, with pricing set contractually rather than competitively.

International Ports, INR 4,539 Cr, 11.7%, at 28.6% margin and **8% RoCE**. NQXT Australia (50 MMT), Colombo West (48), Haifa (26) and Dar es Salaam (20). Grew 34% in FY26 but only consolidated NQXT from 23 December 2025.

Logistics, INR 4,478 Cr, 11.6%, at 19.3% margin and 10% RoCE. Rail, trucking, warehousing and agri silos covering 95% of India's hinterland. Grew 55%, the fastest of the four, from the smallest return base.

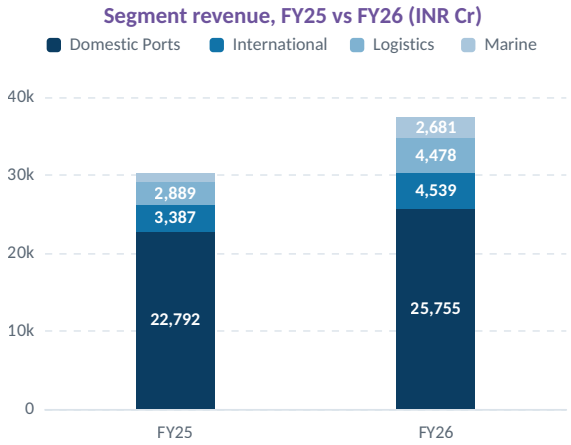
Marine, INR 2,681 Cr, 6.9%, at **51.0% margin** and 13% RoCE. 135 owned vessels plus 47 captive vessels and 62 dredgers consolidated under Domestic Ports. Grew 134%.

Note: the four-segment split is management-defined and unaudited. The statutory segment note (annual report p. 739) discloses only two reportable segments, Port and SEZ activities at INR 33,461.68 Cr of external sales, and Others at INR 5,274.09 Cr.



Pan-India footprint, FY26 key metrics and asset detail. Q4 & FY26 investor presentation, p. 10

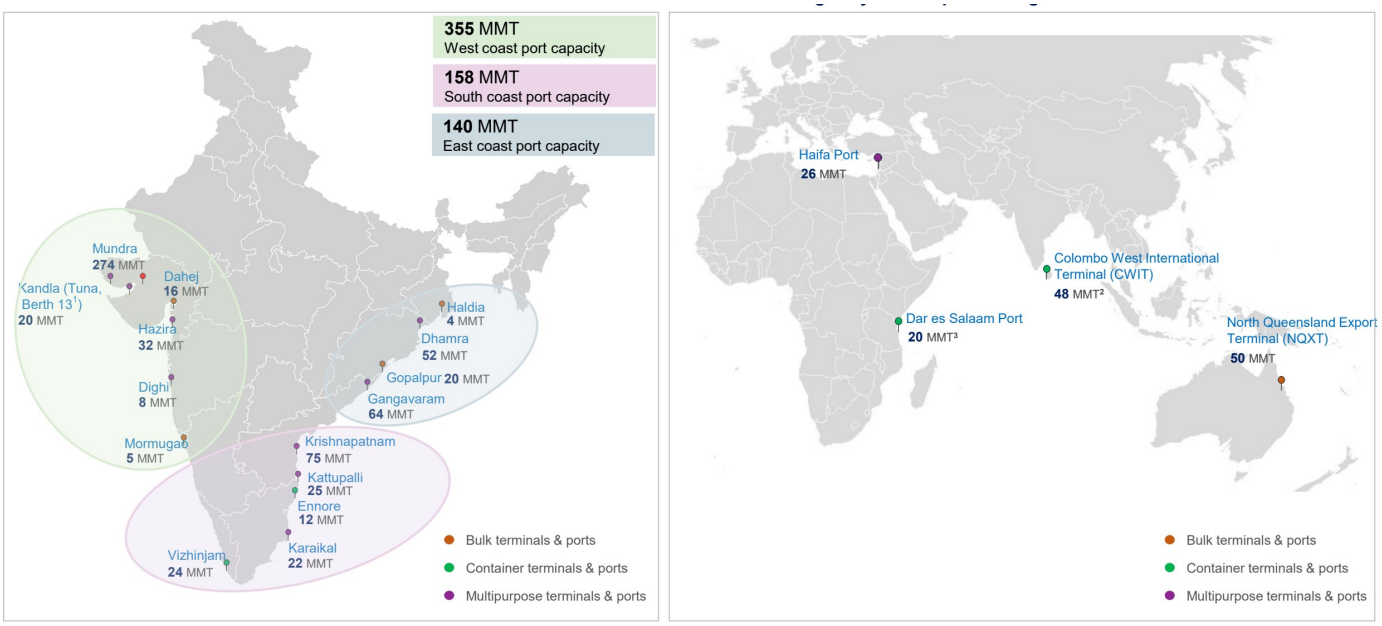
Read-through: The company's own summary reconciles to every headline figure used in this report: revenue INR 38,736 Cr, EBITDA INR 22,851 Cr, PAT INR 12,782 Cr, 501 MMT handled and net debt/EBITDA of 1.9x.



Source: APSEZ media releases (management-defined segments)

Read-through: Every segment grew, but the three low-margin segments grew far faster, International +34%, Logistics +55%, Marine +134% against Domestic Ports +13%.

Asset footprint and capacity



APSEZ port network and installed capacity, as disclosed in the Q4 & FY26 investor presentation, p. 4

DOMESTIC CAPACITY	DOMESTIC THROUGHPUT	INTERNATIONAL CAPACITY	FY31 CAPACITY TARGET
653	**451.0**	**144**	**1,000**
MMT across 15 ports	MMT, utilisation 69.1%	MMT across 4 assets	MMT domestic

Installed capacity and throughput by port, FY26 (MMT)

Port	Coast	Capacity	Throughput	Utilisation
Mundra	West	274	192	70%
Krishnapatnam	South	75	n/d	n/d
Gangavaram	East	64	n/d	n/d
Dhamra	East	52	n/d	n/d
Hazira	West	32	n/d	n/d
Kattupalli	South	25	n/d	n/d
Vizhinjam	South	24	n/d	100% in month 9
Karaikal	South	22	12.4	56%
Kandla (Tuna)	West	20	n/d	n/d
Gopalpur	East	20	n/d	n/d
Dahej	West	16	10.6	66%
Ennore	South	12	n/d	n/d
Dighi	West	8	n/d	n/d
Mormugao	West	5	n/d	n/d
Haldia	East	4	n/d	n/d
Total domestic	**All**	**653**	**451.0**	**69.1%**
NQXT (Australia)	Intl	50	n/d	n/d
Colombo West (CWIT)	Intl	48	n/d	n/d
Haifa (Israel)	Intl	26	n/d	n/d
Dar es Salaam (Tanzania)	Intl	20	n/d	n/d
Total international	**All**	**144**	**49.8**	**34.6%**

Source: FY2025-26 annual report pp. 109 to 120; Q4 & FY26 investor presentation p. 4. 'n/d' = per-port throughput not disclosed.

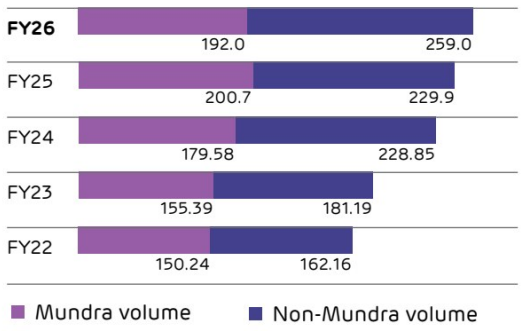
Coast-level capacity splits 355 MMT west, 158 MMT south and 140 MMT east, reconciling exactly to the 653 MMT total across two independently prepared documents. **Mundra alone is 42% of domestic capacity**, the concentration that makes its February 2031 concession expiry the single most consequential fact in this report.

The flagship has stopped growing

The concentration argument has a second edge that the capacity table hides. **Mundra's own throughput fell 4.3% in FY26, from 200.7 MMT to 192.0 MMT**, while non-Mundra domestic volume rose 12.7% from 229.9 MMT to 259.0 MMT. The two sum to the 451.0 MMT domestic total exactly.

FY26 was the first year in the disclosed series in which Mundra shrank. It has fallen from 48% of domestic volume in FY22 to 42.6% in FY26, and the whole of the group's domestic growth last year came from the other fourteen ports.

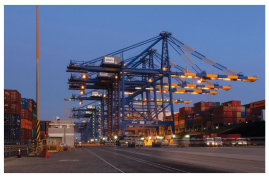
That cuts both ways for the thesis. It weakens the argument that a lapsed Mundra concession would be catastrophic, since the growth is no longer there. It also removes the offsetting comfort: the asset carrying 42% of capacity and the largest single share of the invested base is the one no longer compounding, and it is the one whose licence expires first.



Domestic volume, Mundra versus non-Mundra (MMT). FY2025-26 annual report, p. 108

Read-through: Mundra fell 200.7 to 192.0 MMT while the rest of the network grew 229.9 to 259.0. Every tonne of FY26 domestic growth came from outside the flagship.

Port portfolio



Mundra
274 MMT capacity · 192 MMT handled · 8.5 MTEU containers



Vizhinjam
India's first deep-water transhipment port · 1 mn TEU in year one



Hazira
32 MMT capacity · west coast multipur-pose



Dahej
16 MMT capacity · 10.6 MMT handled · 66% utilisation



Karaikal
22 MMT capacity · 12.4 MMT handled · 56% utilisation



Gopalpur
20 MMT capacity · east coast bulk



Tuna Terminal
Kandla · 20 MMT capacity · Berth 13

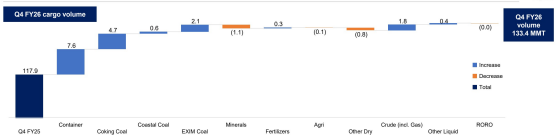
Source: FY2025-26 annual report, operational performance section, pp. 109 to 120

Which cargo actually grew

Tonnage growth is not evenly sourced. In the March 2026 quarter the network moved 133.4 MMT against 117.9 MMT a year earlier, and **containers supplied 7.6 MMT of the 15.5 MMT increase, close to half**. Coking coal added 4.7 MMT and EXIM coal 2.1 MMT. Minerals fell 1.1 MMT and other dry bulk 0.8 MMT.

That mix is favourable. Containers carry the highest realisation per tonne of any class the company handles, which is why revenue beat guidance in each of the last four years while volume missed in three of them. The tonnage line understates what the cargo book is doing to revenue.

The offsetting reading is that the growth is concentrated in two classes. Bulk minerals and other dry cargo, together roughly a fifth of throughput, shrank. A container cycle that turns would remove most of the growth rather than part of it.

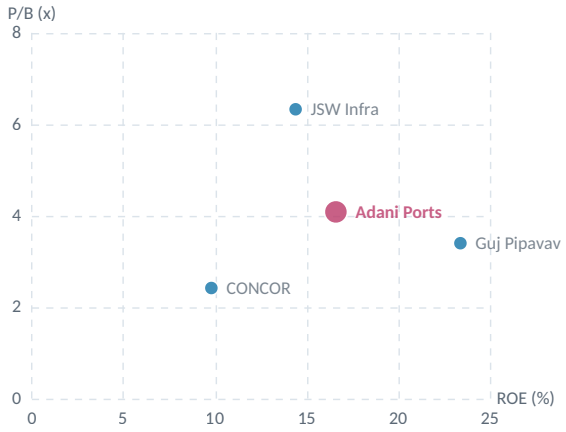


Q4 FY26 cargo volume bridge by commodity (MMT). Q4 & FY26 investor presentation, p. 37

Read-through: Containers and coking coal account for 12.3 of the 15.5 MMT year-on-year increase.

Market share and competitive position

ROE vs P/B, the listed port peer set



Source: Screener exports, consolidated basis, priced 7 August 2026

Read-through: APSEZ earns the second-highest ROE in the set at 16.6% but trades at 4.1x book, Gujarat Pipavav earns a higher 23.4% ROE at 3.4x, so the premium is not simply a returns premium.

APSEZ is the dominant private operator by a distance. Its 500.8 MMT of throughput compares with JSW Infrastructure's 122 MT and Gujarat Pipavav's single-port operation. Revenue of INR 38,736 Cr is roughly seven times JSW Infrastructure's INR 5,582 Cr on a trailing basis and thirty times Gujarat Pipavav's INR 1,159 Cr.

Scale translates into margin. APSEZ's trailing EBITDA margin of **57.9%** compares with JSW Infrastructure at 48.3% and CONCOR at 21.6%. Only Gujarat Pipavav, a single deep-water container port with no logistics or marine drag, beats it at 61.2%, and it is 1/53rd the size.

The competitive question is whether APSEZ is still gaining share. In FY26 the state-owned major ports grew **7%** while APSEZ's domestic volume grew **5%**. All-India share moved just 10 bp to 27.1%, and container share was flat at 45.5%. In a record year for the company, share gain was marginal.

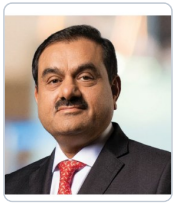
JSW Infrastructure grew FY26 revenue 20% and trades at 27.2x EV/EBITDA, a premium to APSEZ's 19.2x, the market is paying more for the smaller, faster-growing operator.

Listed port and logistics operators, FY26 scale

Company	Revenue (Cr)	EBITDA (Cr)	EBITDA %	PAT (Cr)	ROE %	Mkt cap (Cr)
Adani Ports	**40,430**	**23,399**	**57.9**	**13,112**	**16.6**	**3,90,521**
JSW Infrastructure	5,582	2,696	48.3	1,485	14.4	68,775
Container Corp of India	9,085	1,962	21.6	1,242	9.8	31,196
Gujarat Pipavav Port	1,159	709	61.2	500	23.4	7,313
GMR Airports	14,807	5,757	38.9	176	-7.0	1,12,548

Source: Screener.in consolidated exports, trailing twelve months, priced 7 August 2026

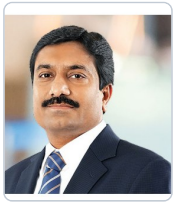
Board of directors



Mr Gautam S. Adani

Non-Executive Chairman · DIN 00006273

Founder of the Adani Group. Strategic rather than operational at APSEZ: he ceased drawing executive pay on 5 August 2025, and day-to-day authority sits with the MD and CEO. FY26 remuneration INR 671.42 lakhs.



Mr Rajesh S. Adani

Non-Executive · DIN 00006322

Brother of the Chairman and MD of Adani Enterprises, the group incubator. Oversight only, on sitting fees of INR 6.00 lakhs. His seat links APSEZ's board to group capital allocation, which matters given NQXT was bought from a promoter-affiliated seller.



Mr Karan Adani

Managing Director · DIN 03088095

Has run the ports business through its scale-up from one Mundra concession to fifteen domestic ports and four international assets. Owns the Ambition 2031 programme and the Vizhinjam transhipment thesis. INR 839.96 lakhs.



Mr Ashwani Gupta

Whole-time Director & CEO · DIN 10455435

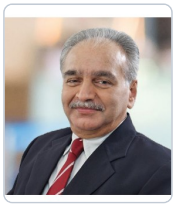
Runs APSEZ operationally after nearly three decades in global automotive, including Nissan and Renault. Chairs the CII National Committee on Shipping & Ports. His INR 3,112.23 lakhs is 3.7x the MD's, the clearest signal that execution has been professionalised.



Mr P. S. Jayakumar

Independent · DIN 01173236

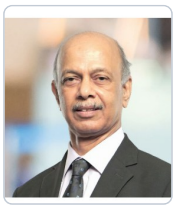
Former MD and CEO of Bank of Baroda. Banking and credit depth against a balance sheet carrying INR 55,103 Cr of gross debt. INR 53.20 lakhs.



Dr Ravindra H. Dholakia

Independent · DIN 00069396

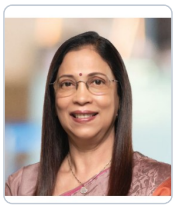
Economist, formerly IIM Ahmedabad and a member of the RBI Monetary Policy Committee. Relevant to a business whose volumes track trade policy and whose discount rate tracks the G-sec. INR 58.20 lakhs.



Mr P. K. Pujari

Independent · DIN 00399995

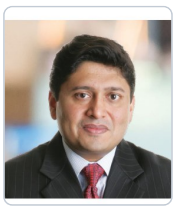
Former Chairperson of the Central Electricity Regulatory Commission and Union Power Secretary. Regulatory and energy expertise for a coal-weighted cargo book and for concession negotiation with state authorities. INR 52.65 lakhs.



Mrs M. V. Bhanumathi

Independent · DIN 10172983

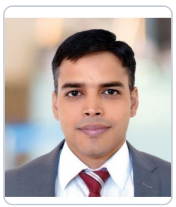
IRS 1987; retired as Director General of Income Tax (Investigation), Mumbai in 2022. Appointed 28 February 2024 and sits on five of the six committees, the widest load on the board. INR 55.70 lakhs.



Mr Manish Kejriwal

Independent · DIN 00040055

Founder of Kedaara Capital, formerly head of Temasek India. Brings an institutional-investor perspective to a board where minority interests need a voice. INR 26.30 lakhs.



Dr Ajay Kumar

Non-Executive · DIN 11530402

Former Defence Secretary of India. Takes **no remuneration**. Adds government and strategic-affairs perspective for port security and politically sensitive international concessions.

Source: FY2025-26 annual report, Board of Directors section, pp. 357 to 366

Board committees

Committee	Chair	Members	Independent majority
Audit	Independent director	3	Yes
Nomination and Remuneration	Independent director	3	Yes
Stakeholders Relationship	Independent director	3	Yes
Corporate Social Responsibility	Board-appointed	3	Yes
Risk Management	Board-appointed	4	Mixed
Information Technology and Data Security	Board-appointed	3	Mixed

Source: FY2025-26 annual report, Corporate Governance Report

Five of the ten directors are independent, the minimum SEBI LODR requires where the chairman is a promoter. Mrs Bhanumathi sits on five of the six committees, the widest load on the board. The audit, nomination and stakeholder committees each carry an independent chair and an independent majority.

Board composition and remuneration

Board of directors, composition and remuneration, FY26

Director	Category	DIN	Remuneration (INR lakhs)
Mr Gautam S. Adani	Non-Executive Chairman	00006273	671.42
Mr Rajesh S. Adani	Non-Executive	00006322	6.00
Mr Karan Adani	Managing Director	03088095	839.96
Mr Ashwani Gupta	Whole-time Director & CEO	10455435	3,112.23
Mr P. S. Jayakumar	Independent	01173236	53.20
Dr Ravindra H. Dholakia	Independent	00069396	58.20
Mr P. K. Pujari	Independent	00399995	52.65
Mrs M. V. Bhanumathi	Independent	10172983	55.70
Mr Manish Kejriwal	Independent	00040055	26.30
Dr Ajay Kumar	Non-Executive	11530402	Nil
Total	**10 directors**		**4,875.66**

Source: FY2025-26 annual report, pp. 357 to 366 and Corporate Governance Report

Composition

Ten directors: five independent, three non-executive and two executive. Independent directors are 50% of the board, which meets the SEBI LODR requirement for a board with a non-executive chairman who is a promoter. One woman independent director satisfies the statutory minimum but no more than that.

The independent cohort is senior and well matched to the risks: a former bank CEO for the balance sheet, a former MPC member for macro, a former power secretary and CERC chair for regulation, a former DG of Income Tax (Investigation) for tax and forensic oversight, and a private-equity founder for minority-shareholder perspective.

What the remuneration says

Total board remuneration of INR 4,875.66 lakhs is **0.38% of FY26 PAT**, immaterial in aggregate. The distribution is the interesting part. The professional CEO takes INR 3,112.23 lakhs, **64% of all board remuneration** and 3.7x the Managing Director. The Chairman's INR 671.42 lakhs includes salary only to 5 August 2025, after which he ceased drawing executive pay.

Read charitably, a promoter family is paying itself modestly and paying market rates for professional management, a governance positive. Read sceptically, promoter economic interest is expressed through a 66.03% shareholding rather than salary, so remuneration restraint costs little. Both readings are true.

Board skills and committee composition

Director	Business leadership	Financial expertise	Risk management	Global experience	Governance & ESG	M&A	Policy / regulatory
Mr Gautam S. Adani	●	●	●	●	●	●	·
Mr Rajesh S. Adani	●	●	●	●	●	●	·
Mr Karan Adani	●	●	●	●	●	●	·
Mr Ashwani Gupta	●	●	●	●	●	●	·
Mr P. S. Jayakumar	●	●	●	·	●	●	·
Dr Ravindra H. Dholakia	●	●	●	●	●	·	●
Mr P. K. Pujari	●	●	●	·	●	●	●
Mrs M. V. Bhanumathi	●	●	●	·	●	·	●
Mr Manish Kejriwal	●	●	●	●	●	●	·
Dr Ajay Kumar	●	·	●	●	●	·	●
Coverage	**10/10**	**9/10**	**10/10**	**7/10**	**10/10**	**7/10**	**4/10**

Source: FY2025-26 annual report, individual director profiles, pp. 357 to 366, "Areas of Expertise" as self-declared by the company for each director.

What the matrix shows

Business leadership, risk management and governance are claimed for all ten directors, which is close to meaningless as a differentiator, self-declared skills matrices usually are. The informative columns are the sparse ones.

Policy and regulatory expertise sits with four directors, all of them independent or non-executive: Dholakia (RBI Monetary Policy Committee), Pujari (Central Electricity Regulatory Commission, Union Power Secretary), Bhanumathi (Indian Revenue Service, Director General of Income Tax) and Ajay Kumar (Defence Secretary). For a business whose entire moat is a set of government-granted concessions, that concentration of regulatory experience among the independent directors is the single most relevant feature of this board.

Committee load

Mrs Bhanumathi carries the widest committee responsibility, Audit, Stakeholders Relationship, CSR, Nomination & Remuneration, and Information Technology & Data Security. A former DG of Income Tax (Investigation) chairing that much of the oversight architecture is a deliberate signal from a group that faced forensic accounting allegations in 2023.

Independent directors are five of ten. With a promoter non-executive chairman, SEBI LODR requires at least half the board to be independent, so the company meets the requirement exactly and not more. One woman independent director likewise satisfies the statutory minimum.

Our assessment: the board is well constructed for the risks this business actually faces. The reservation is structural rather than personal, five of ten directors are promoter-affiliated or executive, so independent directors cannot outvote the promoter side on any matter that comes to a simple board majority.

Key management personnel



Mr Ashwani Gupta

Whole-time Director & Chief Executive Officer

Runs APSEZ operationally. Nearly three decades in global automotive before joining, including senior leadership at Nissan and Renault, where he managed complex multi-country manufacturing and supply chains. Production and industrial engineering degree from Jawaharlal Nehru Engineering College, with the advanced management programme at Harvard Business School and the general management programme at INSEAD. Chairs the CII National Committee on Shipping & Ports for 2025 to 26. FY26 remuneration of INR 3,112.23 lakhs is the largest at the company and 3.7x the Managing Director's, the clearest available signal that operational authority has been professionalised rather than nominally delegated.



Mr Karan Adani

Managing Director

Has run the ports business through its scale-up from a single Mundra concession to a fifteen-port domestic network with four international assets and 653 MMT of capacity. Fifteen years in the business. The Ambition 2031 programme, the Vizhinjam transhipment thesis and the international build-out including NQXT are all his strategic agenda. FY26 remuneration INR 839.96 lakhs. He represents continuity of strategy; the CEO represents professionalisation of execution, and the division of labour between the two is explicit for an Indian promoter-led company.

Remuneration relative to the median employee, FY26

Name	Role	Ratio to median	Change in pay
Mr Ashwani Gupta	**CEO and Whole-time Director**	**218.23:1**	**+200.83%**
Mr D. Muthukumaran	CFO to 28 Feb 2026	69.00:1	+40.97%
Mr Karan Adani	Managing Director	58.84:1	+18.31%
Mr Gautam S. Adani	Non-Executive Chairman	47.08:1	-1.26%
Mr Kamlesh Bhagia	Company Secretary	4.77:1	-2.86%
Non-executive directors	Sitting fees and commission	0.42 to 4.27:1	n/a
Median employee	807 permanent staff, standalone	1.00:1	+9.06%

Source: Annexure C to the Directors' Report, FY2025-26 annual report, p. 398

Mr Krishna Menon, Chief Financial Officer

Named as Chief Financial Officer in the corporate information section of the FY2025-26 annual report (p. 375) and present on the Q4 FY26 earnings call. The annual report does not carry a photograph or an extended biography for the CFO, so we do not include a profile card rather than illustrate the section with a substitute image.

The CFO's fingerprints are visible in the financing record regardless: net debt/EBITDA reduced from 3.1x to 1.9x across three years while funding an acquisition, two dollar bond buybacks executed (USD 386.03m in August 2025 and USD 199.57m in March 2026), and a balance sheet that absorbed a 37% expansion without breaching the guided leverage band.

The office changed hands with one month of the year left. Mr D. Muthukumaran resigned with effect from 28 February 2026 and the successor was appointed from 1 March 2026. A CFO transition dated four weeks before the balance-sheet date is a fact worth noting in a group with the audit history this one has, though nothing in the FY26 audit report or the related-party disclosures suggests the two are connected.

What the pay table says

The CEO's package rose 200.8% in a year in which the median employee received 9.1%, taking the ratio to 218:1. The step-up reflects a first full year in post rather than a raise on a comparable base, and the committee disclosed it in full. It is nonetheless the largest single-year managerial increase in the company's disclosure history, and average KMP pay rose 40.5% against 9.3% for everyone else.

Set that beside the scorecard on the next page and the alignment is imperfect. FY26 was the year capex overshot guidance by 33% and cargo missed the guided range for the third time in four years. Revenue and EBITDA did beat the top of guidance, so the variable component has a defensible basis, but the company does not publish the performance conditions attached to the CEO package, so the link cannot be verified from outside. Where a pay outcome cannot be tied to a published metric we treat it as a governance observation, and it enters our discount rather than our forecast.

Our assessment of management

Operationally, this team delivers. Revenue and EBITDA beat the top of guidance in each of the last four years. Leverage came in better than guided in both FY25 and FY26. Cargo crossed 500 MMT for the first time. Vizhinjam reached full utilisation in nine months, an exceptional commissioning record for greenfield port infrastructure.

On capital allocation we are more cautious. Capex overshot guidance in three of four years, by 65% in FY24 and 33% in FY26. The NQXT acquisition placed INR 43,757 Cr of incremental invested capital into the segment earning 8% RoCE, funded by diluting minorities 6.24%, and purchased from a promoter-affiliated seller. The forward plan directs a further INR 17,000 to 20,000 Cr into International and Marine, the two segments with the weakest returns per rupee of capital.

The team that operates the assets and the process that decides which assets to buy are, on this evidence, of different quality. Our valuation reflects the second more than the first.

What we carry forward

Execution: credit. Four consecutive years of revenue and EBITDA above the top of guidance, leverage better than guided in two, and a greenfield transhipment port at full utilisation in nine months. None of that is ordinary.

Capital allocation: discount. Three capex overshoots in four years, INR 43,757 Cr deployed into an 8% RoCE segment bought from a promoter affiliate, and a forward plan pointing more capital at the two weakest-return segments.

Pay: observation, not a flag. Disclosed in full, explicable as a first full year in post, unverifiable against published conditions.

Only the second of those three moves a number in this report. It is the reason the exit multiple we apply is 10.0x rather than the 14.6x the peer set would support.

Management assessment, the accountability scorecard

APSEZ publishes something most Indian companies do not: a four-year comparison of guidance against delivery. It is on page 33 of the Ambition 2031 deck, and it is the single most useful page in the company's disclosure. We reproduce it and score it.

Guidance versus reported, FY23–FY26

KPI	FY23 guided	FY23 actual	FY24 guided	FY24 actual	FY25 guided	FY25 actual	FY26 guided	FY26 actual
Cargo (MMT)	350 to 360	**339.2**	370 to 390	419.9	460 to 480	**450**	505 to 515	**501**
Revenue (INR Cr)	19,200 to 19,800	20,852	24,000 to 25,000	26,711	29,000 to 31,000	31,079	38,000	38,736
EBITDA (INR Cr)	12,200 to 12,600	12,833	14,500 to 15,000	15,864	17,000 to 18,000	19,025	22,800	22,851
Capex (INR Cr)	8,600	9,141	4,000 to 4,500	**7,416**	10,500 to 11,500	8,049	11,000 to 12,000	**15,320**
Net debt / EBITDA	3.0 to 3.5x	3.1x	~2.5x	2.3x	2.2 to 2.5x	1.9x	2.2 to 2.5x	1.9x

Source: Ambition 2031 investor presentation, p. 33. Bold marks a miss or a material overshoot.

What the record shows

Volume gets missed; the financials get beaten. Cargo guidance was missed in three of four years, FY23 at 339.2 against 350 to 360, FY25 at 450 against 460 to 480, FY26 at 501 against 505 to 515. Yet revenue beat the top of guidance in **all four years**, by an average of 3.6%, and EBITDA beat in all four.

That combination means realisation and mix are doing more work than management guides for. Containers grew 9% while total domestic cargo grew 5%; the higher-realisation cargo class is outgrowing the tonnage.

It also means volume guidance should be discounted while revenue guidance should not. Our forecast reflects that: a domestic volume CAGR of 8.6% well below the implied plan, but an FY27 revenue outcome about 4% above the top of the guided range.

Where the record is poor

Capex is the weak line. It overshot in three of four years, by 65% in FY24 (INR 7,416 Cr against INR 4,000 to 4,500 Cr) and by 33% in FY26 (INR 15,320 Cr against INR 11,000 to 12,000 Cr). The one undershoot, FY25, was followed by the largest overshoot.

This matters because a ±5 pp capex move is worth **INR 121 a share** in our sensitivity analysis, fourth of 7 drivers behind revenue growth. It was INR 375 under the earlier Gordon terminal value, which carried the final year's capex into perpetuity; the value-driver terminal value ties perpetual reinvestment to growth instead. Capex is still the assumption with the worst record.

Balance-sheet discipline, by contrast, has been consistently better than guided: net debt/EBITDA came in at 1.9x against a 2.2 to 2.5x guide in both FY25 and FY26.

Shareholding pattern

The promoter group holds **66.03%** across 18 entities as at 30 June 2026, against public holding of 33.97% spread over 10,72,323 shareholders. Foreign institutions hold 15.58% and domestic institutions 13.60%.

Zero pledge

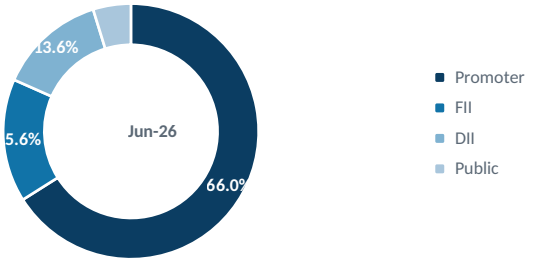
The BSE filing answers 'No' to all three encumbrance questions, pledge, non-disposal undertaking and other encumbrances. For an Adani entity this matters. Promoter share pledging was the mechanism through which the January 2023 de-rating threatened to become a solvency event. That channel is now closed at APSEZ.

The locked-in block

143,820,153 shares, **6.24% of the company and 9.45% of the promoter holding**, are locked in, and all of them sit with **Carmichael Rail And Port Singapore Holdings Pte. Ltd.** That is the NQXT consideration block. Equity share capital rose from INR 432.03 Cr to INR 460.79 Cr at INR 2 face value over FY26, i.e. exactly 143,820,153 new shares. The acquisition was share-funded from a promoter-affiliated seller, cleared by majority-of-minority vote and approved by the RBI and Australia's Foreign Investment Review Board.

Within the promoter group, the S. B. Adani Family Trust holds 30.85%, Adani Tradeline 6.00%, Carmichael Rail and Port 6.24%, Emerging Market Investment DMCC 5.91% and Adani Rail Infra 3.07%. Direct individual holdings are negligible, Gautam Adani personally holds a single share.

Shareholding, 30 June 2026 (%)



Source: BSE shareholding pattern filing, Regulation 31(1)(b), quarter ended 30-06-2026

Read-through: Two-thirds promoter-held with zero pledge and a third in public hands, the ownership structure is concentrated but no longer financially encumbered.

Quarterly performance

Consolidated quarterly results (INR Cr)

Particulars	Q4 FY24	Q1 FY25	Q2 FY25	Q3 FY25	Q4 FY25	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27
Revenue	6,896	7,560	7,067	7,964	8,488	9,126	9,167	9,705	10,738	10,821
Expenses	2,887	2,820	2,700	3,161	3,482	3,631	3,827	3,919	4,718	4,568
Operating profit	4,009	4,739	4,367	4,802	5,006	5,495	5,340	5,786	6,020	6,253
OPM %	58.1%	62.7%	61.8%	60.3%	59.0%	60.2%	58.3%	59.6%	56.1%	57.8%
Other income	-70	349	254	247	426	453	837	189	900	853
Depreciation	979	1,012	1,077	1,106	1,185	1,255	1,264	1,384	1,615	1,711
Interest	619	484	659	923	715	846	1,223	980	1,605	1,087
Profit before tax	2,341	3,593	2,885	3,020	3,532	3,848	3,690	3,611	3,700	4,307
Tax	326	485	473	501	509	537	570	568	392	658
Net profit	**2,040**	**3,113**	**2,445**	**2,520**	**3,014**	**3,315**	**3,109**	**3,054**	**3,329**	**3,620**

Source: Screener.in export of exchange filings; TTM to Jun-26

The last eight quarters

Revenue has risen in every quarter but one across the series, from INR 6,896 Cr in Q4 FY24 to INR 10,821 Cr in Q1 FY27, a 57% increase in seven quarters. Operating profit rose from INR 4,009 Cr to INR 6,253 Cr over the same span, and the operating margin has been remarkably stable in a 56 to 60% band despite the NQXT consolidation diluting mix.

Q1 FY27 (Jun-26) is the latest print: revenue INR 10,821 Cr and operating profit INR 6,253 Cr, both records. Net profit of INR 3,620 Cr was up 9% on the March quarter. Annualising Q1 revenue gives INR 43,284 Cr, at the bottom of management's INR 43,000 to 45,000 Cr FY27 guidance.

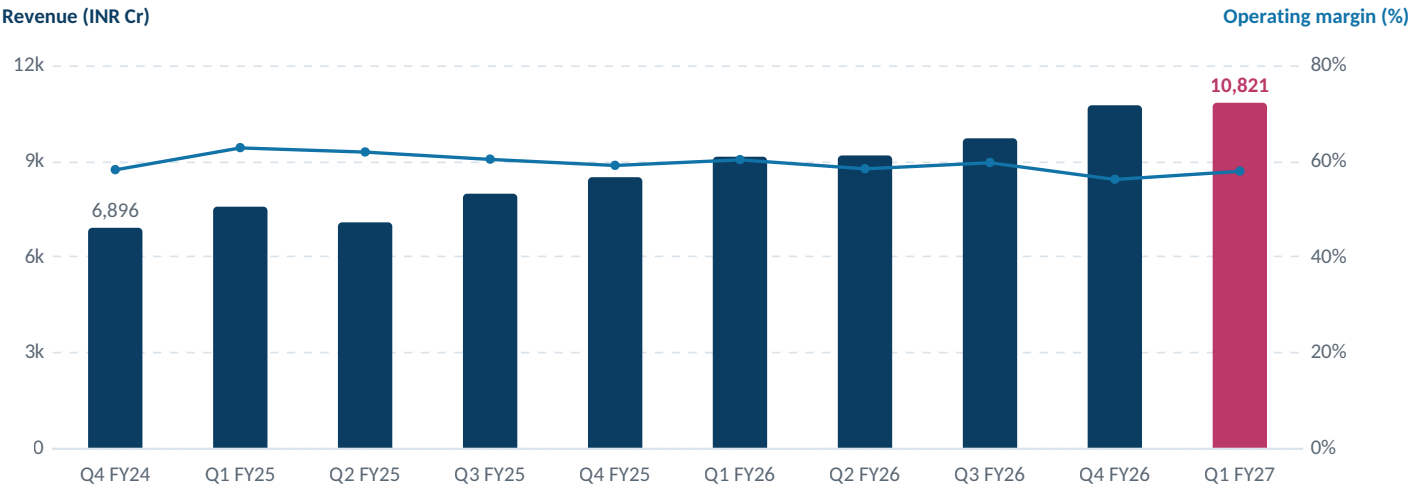
What moved

Interest is the volatile line. It ran INR 484 to 1,605 Cr across the eight quarters, spiking to INR 1,605 Cr in Q4 FY26 as NQXT debt consolidated, then falling back to INR 1,087 Cr in Q1 FY27. Depreciation has risen steadily from INR 979 Cr to INR 1,711 Cr as new capacity commissions, a 75% increase that will continue as the INR 87,000 Cr programme lands.

The tax line is erratic. The effective rate ranged from 10.6% in Q4 FY26 to 15.5% in Q2 FY26. That volatility is the SEZ and international mix moving quarter to quarter, and it is why we fade the rate rather than extrapolate any single print.

Q1 FY27 international volumes were 22.8 MMT against 7.7 MMT a year earlier, NQXT contributed 10 MMT and Colombo 6.9 MMT. That step-up is consolidation rather than organic growth, and the forecast decomposes it as such.

Quarterly revenue and operating margin, Q4 FY24 to Q1 FY27



Source: Screener.in export of exchange filings

Read-through: Revenue compounds through the series while the margin holds a 56 to 63% band. The Q4 FY26 dip to 56.1% is the first quarter of NQXT in the consolidated base, and Q1 FY27 recovers 170 bp of it.

Consolidated profit and loss, ten years

Consolidated P&L (INR Cr), FY17 to FY21

Particulars	FY17	FY18	FY19	FY20	FY21
Revenue from operations	8,439	11,323	10,925	11,873	12,550
YoY growth	n/a	34.2%	-3.5%	8.7%	5.7%
Power and fuel	397	419	566	768	765
Other operating expenses	1,709	2,736	2,116	2,399	2,565
Employee cost	384	448	531	548	617
Selling and admin	252	321	386	415	474
Other expenses	168	112	591	1,796	-558
EBITDA	**5,418**	**7,157**	**6,596**	**5,947**	**8,688**
EBITDA margin	64.2%	63.2%	60.4%	50.1%	69.2%
Depreciation	1,160	1,188	1,373	1,680	2,107
Other income	1,037	844	1,289	1,928	1,967
Interest	1,116	1,579	1,385	1,951	2,255
Profit before tax	4,179	5,234	5,126	4,244	6,292
Tax	287	1,544	1,081	459	1,243
Effective tax rate	6.9%	29.5%	21.1%	10.8%	19.8%
Net profit	**3,912**	**3,674**	**3,990**	**3,763**	**4,994**
EPS (INR)	n/a	n/a	n/a	n/a	n/a

Consolidated P&L (INR Cr), FY22 to FY26

Particulars	FY22	FY23	FY24	FY25	FY26
Revenue from operations	17,119	20,852	26,711	30,475	38,736
YoY growth	36.4%	21.8%	28.1%	14.1%	27.1%
Power and fuel	996	1,025	1,229	1,267	1,541
Other operating expenses	3,951	4,742	6,048	7,004	9,992
Employee cost	781	1,180	1,898	2,011	2,358
Selling and admin	805	821	1,421	1,424	1,378
Other expenses	1,057	2,136	525	347	599
EBITDA	**9,528**	**10,947**	**15,589**	**18,421**	**22,868**
EBITDA margin	55.7%	52.5%	58.4%	60.5%	59.0%
Depreciation	3,099	3,425	3,888	4,379	5,517
Other income	1,832	327	671	1,800	2,152
Interest	2,544	2,363	2,733	2,813	4,654
Profit before tax	5,717	5,487	9,639	13,030	14,849
Tax	764	96	1,535	1,968	2,067
Effective tax rate	13.4%	1.8%	15.9%	15.1%	13.9%
Net profit	**4,886**	**5,309**	**8,111**	**11,092**	**12,806**
EPS (INR)	n/a	n/a	n/a	n/a	n/a

Source: Screener.in export of consolidated filings; EBITDA derived as revenue less operating expenses

Revenue compounded at **25.3% over five years** and 22.9% over three, taking the top line from INR 8,439 Cr in FY17 to INR 38,736 Cr in FY26, a 4.6x increase. Only FY19 saw a decline, of 3.5%. EBITDA margin has been between 50.1% and 69.2% throughout, and PAT margin has risen from 25.5% at its low to 33.1%.

Two lines need comment. **Other income** of INR 2,152 Cr in FY26 is 5.6% of revenue and 14.5% of PBT, largely treasury income on the cash pile and interest on JV loans. It is real income, but it is not port operations, and it should not be capitalised at an operating multiple. **Other expenses** is erratic, swinging from negative INR 558 Cr in FY21 to INR 2,136 Cr in FY23; it absorbs impairments and one-offs, which is why single-year margin comparisons mislead.

Revenue analysis

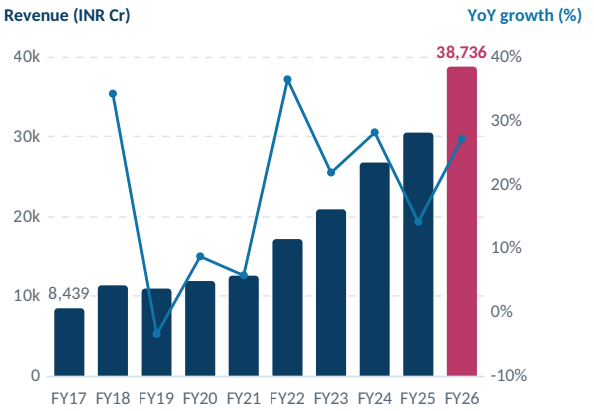
FY26 revenue of INR 38,736 Cr was up **27.1%** on the Screener basis and 25% as the company reports it. Decomposing that growth is the single most useful thing an analyst can do with this company, because the headline conflates three very different things.

Decomposing FY26 growth

- **Domestic volume: +5%**, 451.0 MMT against 430.6 MMT. This is the organic core, and it grew slower than the 7% posted by the state-owned major ports.
- **Domestic mix and realisation**, Domestic Ports revenue grew 13% on 5% volume, so roughly 8 pp came from realisation and mix. Containers grew 9% against 5% total, and containers realise more per tonne than bulk.
- **International: +34% revenue on +154% volume**, 49.8 MMT against 19.6 MMT. Note the inversion: volume grew far faster than revenue, because NQXT is low-realisation bulk coal. Realisation per tonne *fell* in this segment.
- **Logistics +55% and Marine +134%**, both from small bases, both partly inorganic.

Stripping out the NQXT consolidation, underlying growth is high single digit, not 27%. That distinction is the whole argument between our forecast and management's Ambition 2031 path.

Revenue and growth, FY17–FY26

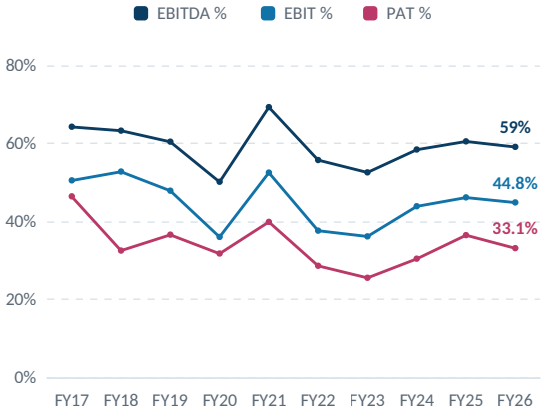


Source: Screener.in export of consolidated filings

Read-through: Revenue has compounded 25.3% over five years, but the FY26 step-up is materially inorganic, domestic volume, the organic core, grew only 5%.

Margin analysis

EBITDA, EBIT and PAT margins, FY17–FY26



Source: Screener.in export; EBITDA derived as revenue less operating expenses

Read-through: A 59.0% EBITDA margin sustained across a decade in which revenue grew 4.6x reflects operating leverage rather than a cyclical peak.

FY26 EBITDA margin was **59.0%**, against a three-year average of 59.3% and a ten-year range of 50.1% to 69.2%. EBIT margin was 44.8% and PAT margin 33.1%. For context, the peer set runs at 48.3% (JSW Infrastructure), 61.2% (Gujarat Pipavav, a single container port) and 21.6% (CONCOR, a rail logistics operator).

The business has no raw-material cost. The Screener export carries no raw-material line at all across the ten years, a port sells cargo-handling services, so the reported 98.7% gross margin carries no information. The real cost base is power and fuel (INR 1,541 Cr), other operating expenses (INR 9,992 Cr), employee cost (INR 2,358 Cr) and selling and admin (INR 1,378 Cr), together about 41% of revenue.

Why we fade the margin

The core is not deteriorating, since Domestic Ports earns 73.2%. The issue is that **mix is moving against the group margin**. International runs at 28.6%, Logistics at 19.3%, and both grow faster than Domestic in our build. We therefore fade group EBITDA margin 50 bp a year to 56.5% by FY31, which lands close to management's own implied 56.8% (EBITDA INR 52,000 Cr on revenue INR 91,500 Cr). Our disagreement with management concerns the revenue path rather than the margin path.

The offsetting risk is cost rather than mix. WPI Fuel and Power at +27.41% flows into tug, crane and haulage costs before contractual tariff resets recover it.

Balance sheet

Consolidated balance sheet (INR Cr)

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Equity share capital	414	414	414	406	406	422	432	432	432	461
Reserves	17,112	20,489	23,958	25,051	30,035	41,399	44,957	52,346	61,837	95,498
Borrowings	22,214	22,370	27,712	30,242	35,855	47,935	53,434	49,470	51,621	63,566
Other liabilities	3,629	3,960	4,228	6,217	8,285	8,572	13,740	14,751	19,553	23,574
Trade payables	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	2,720	2,736
Net block	21,054	22,670	28,121	32,715	48,291	62,553	72,224	75,148	89,616	131,652
Capital work in progress	4,514	4,545	4,483	3,216	3,697	4,023	6,637	10,936	11,706	12,689
Investments	1,161	1,079	782	1,178	2,236	3,161	7,432	4,289	4,659	5,449
Other assets	16,641	18,938	22,924	24,808	20,358	28,591	26,271	26,627	27,461	33,308
Receivables	2,693	4,310	2,790	3,202	2,926	2,521	3,957	3,667	4,432	6,383
Inventory	657	520	807	288	992	396	452	438	522	685
Cash and bank	1,977	2,968	5,967	7,314	4,701	10,667	4,334	7,632	6,606	8,484
Total assets	**43,369**	**47,233**	**56,311**	**61,917**	**74,582**	**98,328**	**112,563**	**116,999**	**133,443**	**183,099**

Source: Screener.in export; trade payables from annual report note 19 (p. 725); Screener does not carry the line

The balance sheet expanded **37% in FY26**, from INR 1,33,443 Cr to INR 1,83,099 Cr, almost entirely because NQXT consolidated. Net block rose INR 42,036 Cr to INR 1,31,652 Cr and goodwill of INR 9,736 Cr appeared. Reserves rose INR 33,661 Cr against retained profit of only INR 11,078 Cr, the INR 22,583 Cr residual is share premium on the NQXT consideration shares plus other comprehensive income, implying an issue price near INR 1,570 per share.

Trade payables are disclosed for two years only. Screener does not carry the line; we took FY26 INR 2,736.24 Cr and FY25 INR 2,720.50 Cr from note 19, both of which foot exactly to the stated current-liability subtotals. Earlier years remain blank rather than estimated, so payable days have a two-point history, a stated limitation of this analysis.

Leverage and solvency

Gross debt at 31 March 2026 was **INR 55,103 Cr** (non-current INR 50,424 Cr, current INR 4,679 Cr) against cash and liquid investments of **INR 12,193 Cr**, giving net debt of **INR 42,910 Cr** and net debt/EBITDA of **1.88x**. Both tie exactly to the company's stated figures.

A convention that matters

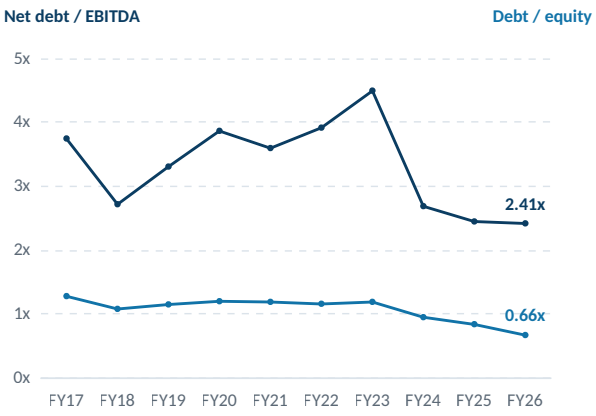
Lease liabilities of INR 8,296 Cr (non-current INR 7,787 Cr, current INR 509 Cr) sit outside that. Including them takes net debt to INR 51,206 Cr and the ratio to **2.24x**. We bridge the DCF equity value at the reported INR 42,910 Cr for comparability with management and the peer set, and disclose the lease-inclusive figure alongside. Readers should note that our comps table computes EV on Screener's lease-inclusive borrowings of INR 63,566 Cr, so the comps EV and the DCF bridge use different net debt, a INR 15,028 Cr or roughly INR 65 per share difference.

The trajectory is good

Net debt/EBITDA has fallen from 3.1x in FY23 to 1.9x in FY26, beating a 2.2 to 2.5x guide in each of the last two years. Two bond buybacks were completed, USD 386.03m in August 2025 and USD 199.57m in March 2026. The three-statement model has net debt *falling* across the forecast, from INR 51,819 Cr in FY27 to INR 32,798 Cr in FY31, even while funding INR 87,000 Cr of capex.

Interest coverage of 3.7x is the one soft spot and carries a WATCH flag. EBIT of INR 17,351 Cr against interest of INR 4,654 Cr is adequate but not comfortable for an asset-heavy business, and interest rose 65% in FY26 as NQXT debt consolidated.

Leverage ratios, FY17–FY26



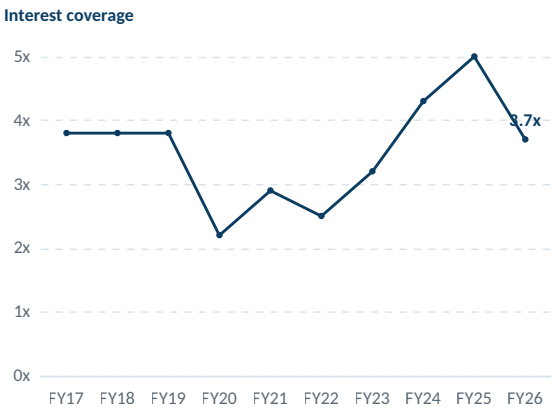
Source: Screener.in export; net debt on a lease-inclusive Screener basis

Read-through: Leverage has more than halved from its FY21 peak even through an acquisition-heavy period, the balance sheet is the strongest part of the equity story.

Interest coverage

Coverage is the one leverage measure moving the wrong way. EBIT of INR 17,351 Cr against interest of INR 4,654 Cr gives **3.7x**, down from 6.2x in FY25 as NQXT debt consolidated and interest rose 65%. That is adequate for solvency and constraining for further leverage, and it is the reading behind the WATCH flag in the forensic section.

Interest coverage, FY17–FY26

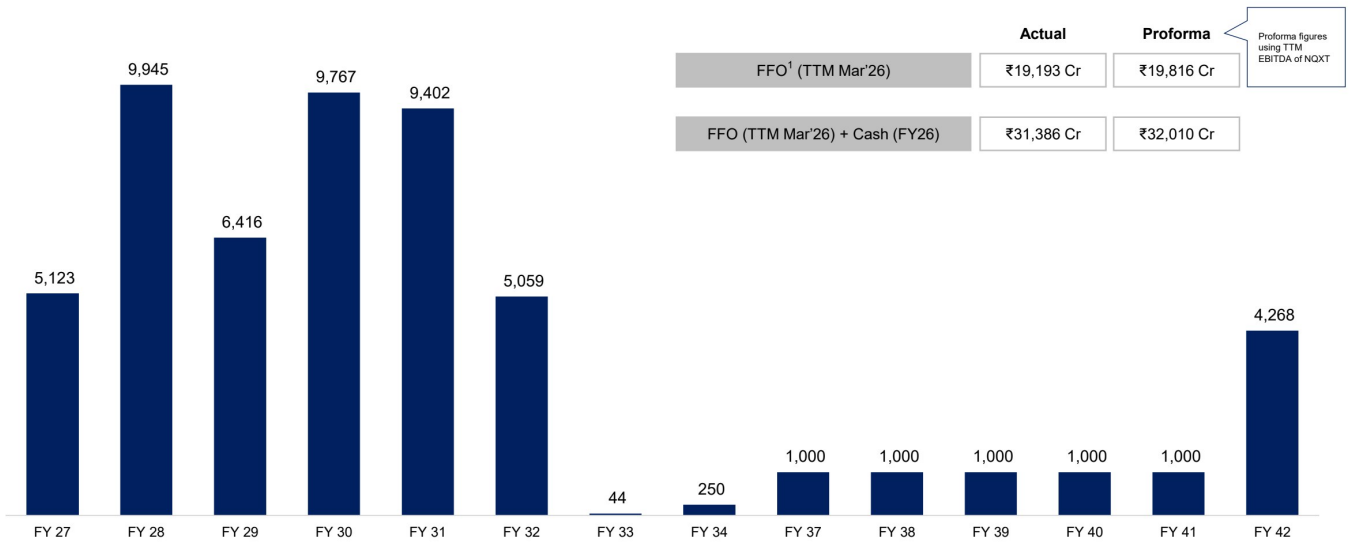


Source: Screener.in export

Read-through: Coverage more than halved in one year on the NQXT consolidation, the only leverage measure deteriorating.

Maturity profile

The repayment ladder is the reason 3.7x coverage is a constraint rather than a problem. Maturities are spread to FY42, with the heaviest years FY28 at INR 9,945 Cr, FY30 at INR 9,767 Cr and FY31 at INR 9,402 Cr, against funds from operations of **INR 19,193 Cr** on a trailing twelve-month basis, or INR 19,816 Cr proforma for a full year of NQXT. FFO plus FY26 cash covers the three heaviest years combined.

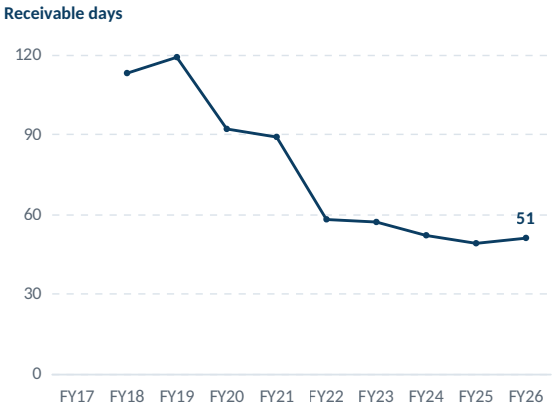


Debt maturity profile FY27 to FY42 and funds from operations. Q4 & FY26 investor presentation, p. 25

Read-through: No single year requires more than roughly half of trailing FFO, so the leverage question is the cost of the capex programme rather than a refinancing wall.

Working capital

Receivable and payable days, FY17–FY26



Source: Screener.in export; payables from annual report note 19, FY25–FY26 only

Read-through: Receivable days have fallen from a 138.9-day peak to 60.1, but the FY26 uptick reflects NQXT receivables arriving at year end rather than a deterioration in collection.

Net working capital was **11.18% of sales** in FY26, receivables INR 6,383 Cr plus inventory INR 685 Cr less payables INR 2,736 Cr, on revenue of INR 38,736 Cr. Receivable days were 60.1 against a three-year average of 54.5; inventory days 6.5; payable days 25.8.

A modelling subtlety worth recording

Because APSEZ has effectively no cost of goods sold, the conventional working-capital formula misfires. NWC/Sales = DSO/365 + (DIO − DPO)/365 × (COGS/Sales) scales payables by a COGS ratio of about 1.3%, which effectively deletes them and returns 16.4% of sales. Summing the day counts directly returns **11.18%**, which reproduces the actual balance sheet exactly. These are operating-cost payables that scale with revenue rather than material payables, so we model them on a sales basis, and say so.

Inventory is consumables and spares rather than tradable stock, so at 6.5 days it is structurally negligible. The sector profile suppresses inventory days and cash conversion cycle for exactly this reason, and we do not report them as meaningful metrics.

We assume receivable days ease from 60 to 56 across the forecast, taking NWC from 11.1% to 10.0% of sales, a modest improvement.

Working capital, FY22 to FY26 (INR Cr)

Item	FY22	FY23	FY24	FY25	FY26
Trade receivables	2,521	3,957	3,667	4,432	6,383
Inventory	396	452	438	522	685
Trade payables	n/a	n/a	n/a	2,720	2,736
Receivable days	58.0	57.0	52.0	49.0	51.0
Payable days	n/a	n/a	n/a	n/a	n/a
NWC % of sales	**n/a**	**n/a**	**n/a**	**7.3%**	**11.2%**

Source: Screener.in; trade payables for FY25 and FY26 only, from annual report note 19. Net working capital as a share of sales is shown only where payables are available.

Cash flow

Consolidated cash flow (INR Cr), FY17 to FY21

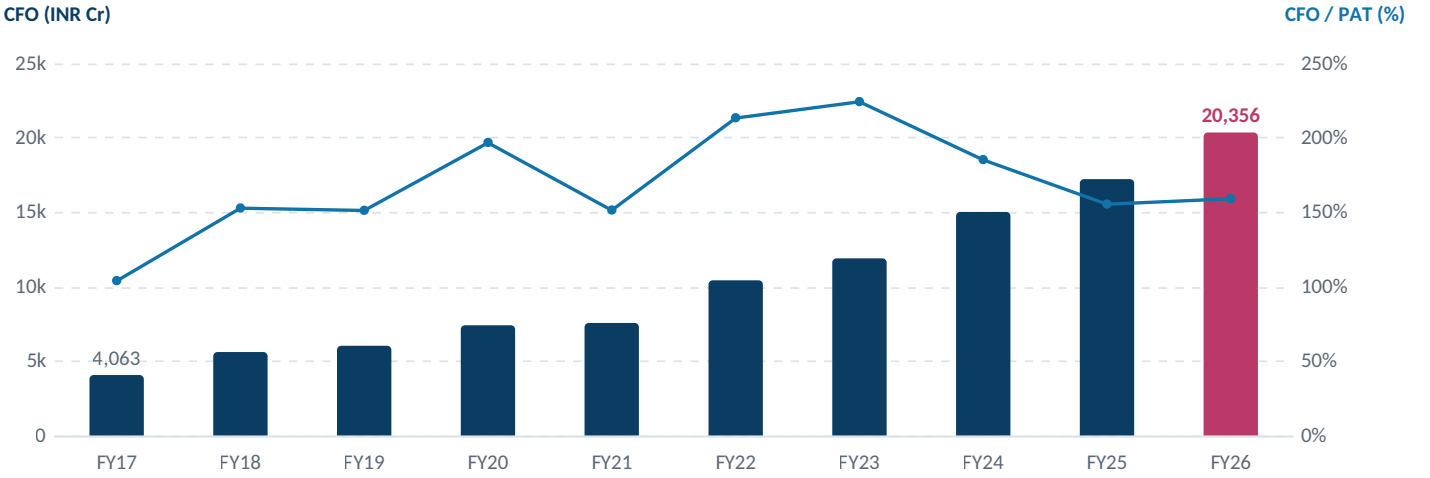
Particulars	FY17	FY18	FY19	FY20	FY21
Cash from operations	4,063	5,608	6,029	7,402	7,556
Cash from investing	-2,629	-3,846	-4,368	-749	-14,064
Cash from financing	-1,325	-1,889	2,313	-4,256	3,514
Net cash flow	**109**	**-127**	**3,975**	**2,397**	**-2,994**
CFO / EBITDA	75.0%	78.4%	91.4%	124.5%	87.0%
CFO / PAT	103.9%	152.7%	151.1%	196.7%	151.3%
Free cash flow	1,433	1,762	1,661	6,653	-6,508

Consolidated cash flow (INR Cr), FY22 to FY26

Particulars	FY22	FY23	FY24	FY25	FY26
Cash from operations	10,420	11,900	15,018	17,226	20,356
Cash from investing	-5,493	-16,716	-6,947	-9,788	-13,191
Cash from financing	-586	-2,734	-7,800	-6,916	-5,483
Net cash flow	**4,341**	**-7,550**	**271**	**523**	**1,682**
CFO / EBITDA	109.4%	108.7%	96.3%	93.5%	89.0%
CFO / PAT	213.3%	224.1%	185.2%	155.3%	159.0%
Free cash flow	4,927	-4,816	8,071	7,439	7,166

Source: Screener.in export of consolidated cash flow statements

CFO and cash conversion, FY17–FY26



Source: Screener.in export of consolidated cash flow statements

Read-through: CFO rose in every one of ten years and the ten-year mean CFO/PAT is 169.2%, so reported profit converts to cash without qualification.

Cash generation is the strongest part of the financial record

CFO has risen every single year for ten years, from INR 4,063 Cr in FY17 to **INR 20,356 Cr in FY26**, a 5.0x increase with no interruption, including through COVID and through the 2023 de-rating. The ten-year mean CFO/PAT is **169.2%**, which passes the forensic screen comfortably; a port converts profit into cash better than almost any other business because depreciation is large and working capital is small.

Investing outflows have been lumpy and large, INR 14,064 Cr in FY21, INR 16,716 Cr in FY23, INR 13,191 Cr in FY26, reflecting both organic capex and acquisitions. Financing has been a net outflow in seven of ten years as the company delevered and paid dividends.

Free cash flow is where the argument is

FY26 capex on the model's definition was INR 47,554 Cr including acquisition, against CFO of INR 20,356 Cr. On the company's organic definition, capex was INR 15,320 Cr, 39.5% of sales and 33% above the guided INR 11,000 to 12,000 Cr.

Our forecast has FCFF rising from INR 7,166 Cr in FY27 to INR 16,876 Cr in FY31. That is healthy in absolute terms and inadequate relative to the market price: cumulative five-year FCFF of INR 60,078 Cr discounts to INR 43,269 Cr, or just **26.4% of our enterprise value**. The other 73.6% is terminal value.

These cash flows come from the linked three-statement model, whose balance sheet and revolver tie in every year, so the DCF values a company that funds itself. The Excel model computes the same DCF as live formulas.

Capital expenditure and fixed assets

FY26 capex was **INR 15,320 Cr**, 39.5% of sales, against guidance of INR 11,000 to 12,000 Cr, an overshoot of 33%. Net block rose from INR 89,616 Cr to INR 1,31,652 Cr, though most of that increase is NQXT consolidating rather than money spent. Capital work in progress stands at INR 12,689 Cr, up from INR 11,706 Cr.

The five-year programme

Management has committed **INR 84,000 to 92,000 Cr** across FY27–FY31, allocated as follows:

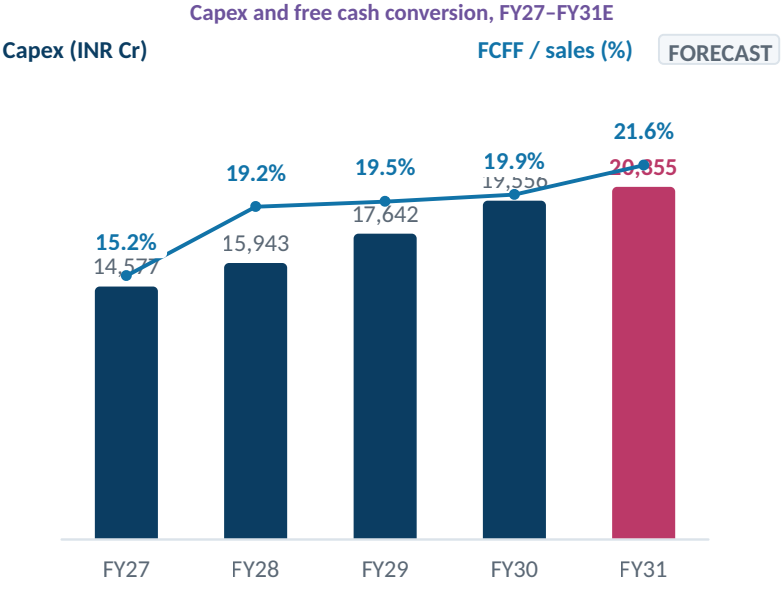
- **Domestic ports INR 60,000 to 63,000 Cr**, brownfield at Mundra, Dhamra, Ennore, Kattupalli and Hazira, taking capacity from 653 MMT to 1 billion tonnes.
- **Marine INR 11,000 to 13,000 Cr**, fleet expansion. Note the ratio: INR 11 to 13k Cr of capital to add INR 3,300 Cr of revenue by FY31, the heaviest capital intensity per rupee of incremental revenue in the entire plan.
- **Logistics INR 7,000 to 9,000 Cr**, rakes, multi-modal parks, warehouses, agri silos and trucks.
- **International INR 6,000 to 7,000 Cr**, largely Colombo West phase 2.

Our forecast applies 31% of sales in FY27 falling to 26% by FY31, which totals about INR 87,000 Cr, inside the guided range. That assumption carries a plausibility-band warning (31% exceeds the model's 0 to 30% band) which we have retained rather than suppressed, because the FY26 actual of 39.5% makes the higher figure the evidenced one.

Depreciation

Depreciation was INR 5,517 Cr in FY26, 14.24% of sales against a three-year average of 14.39%. We raise it to 15.2% by FY31 as the new capacity commissions and as the NQXT and Colombo concession intangibles amortise over their licence lives, which, for Mundra, is the point at issue.

Capex and free cash conversion, FY27–FY31E



Source: Model output; capex path from the Ambition 2031 deck, p. 22

Read-through: Capex consumes more than half of EBITDA in every forecast year, which is why free cash flow stays below 22% of sales throughout and why the DCF cannot reach the market price.

Ratio analysis

Profitability and returns (%)

Ratio	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
EBITDA Margin %	64.2	63.2	60.4	50.1	69.2	55.7	52.5	58.4	60.5	59.0
EBIT Margin %	50.5	52.7	47.8	35.9	52.4	37.5	36.1	43.8	46.1	44.8
PAT Margin %	46.4	32.4	36.5	31.7	39.8	28.5	25.5	30.4	36.4	33.1
Effective Tax %	6.9	29.5	21.1	10.8	19.8	13.4	1.8	15.9	15.1	13.9
ROE %	n/a	19.1	17.6	15.1	17.9	13.5	12.2	16.5	19.3	16.2
ROA %	n/a	7.1	6.6	5.4	6.4	5.0	4.5	6.5	8.1	7.5
ROCE %	n/a	14.4	10.9	7.9	10.8	8.2	8.0	11.6	13.0	12.7
ROIC %	n/a	10.8	9.5	8.1	9.6	7.9	8.5	10.4	11.8	11.6

Leverage, efficiency and cash

Ratio	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Debt / equity (x)	1.27	1.07	1.14	1.19	1.18	1.15	1.18	0.94	0.83	0.66
Net debt / EBITDA (x)	3.74	2.71	3.30	3.86	3.59	3.91	4.49	2.68	2.44	2.41
Interest coverage (x)	3.8	3.8	3.8	2.2	2.9	2.5	3.2	4.3	5.0	3.7
Asset turnover (x)	n/a	0.22	0.18	0.17	0.16	0.18	0.18	0.21	0.22	0.23
Receivable days	n/a	113.0	119.0	92.0	89.0	58.0	57.0	52.0	49.0	51.0
Payable days	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
CFO / EBITDA (%)	75.0	78.4	91.4	124.5	87.0	109.4	108.7	96.3	93.5	89.0
EPS (INR)	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
BVPS (INR)	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a

Source: Computed from Screener.in consolidated data. Inventory days and cash conversion cycle are suppressed as not meaningful for a port operator with no tradable stock.

Reading the profitability block

The margin series is stable for a company that grew revenue 4.6x over the period. EBITDA margin sat between 50.1% and 69.2% and never trended in one direction for more than three consecutive years. The dip to 50.1% in FY20 and the spike to 69.2% in FY21 both reflect the Other Expenses line absorbing one-offs rather than any change in the underlying business.

The effective tax rate is the series that should attract most attention. It ranged from 1.75% to 29.5% across the decade and averaged 12.0% over five years. A rate that volatile depends on where profit is booked and which assets sit inside the SEZ perimeter, which is why we fade the rate toward statutory rather than extrapolating any single year.

Reading the leverage and efficiency block

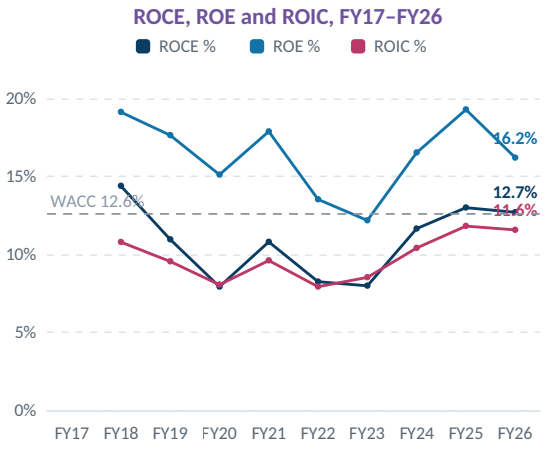
Debt to equity peaked at 1.14x in FY22 and has since fallen to 0.66x, and net debt to EBITDA improved every year from FY22 onward. Interest coverage is the exception. It improved to 6.2x in FY25 then fell back to 3.7x in FY26 as NQXT debt consolidated, which is the WATCH flag carried into the forensic section.

Several efficiency rows read n/a before FY25. Screener does not carry trade payables, so payable days and the cash conversion cycle can be computed only for the two years the annual report discloses. We show the gap rather than filling it with an estimate. Inventory days and the cash conversion cycle are in any case suppressed by the sector profile, since a port holds consumables rather than tradable stock.

Returns on capital and DuPont

ROCE was **10.9%** in FY26 on our computation (EBIT over capital employed), up from 7.2% at the FY21 low and against a three-year average of 11.6%. The company reports 16% on its own definition; the difference is the capital-employed base, and we note both rather than adjudicate.

ROE was **16.2%** and ROIC 10.9%. Against a WACC of **12.56%**, that is the uncomfortable reading: on our numbers APSEZ is currently earning roughly its cost of capital rather than comfortably above it. On the company's own 16% RoCE it clears the hurdle. The gap is definitional, but a reader should know that the answer to 'does this business create economic value today' depends on whose capital-employed base you accept.



Source: Computed from Screener.in consolidated data

DuPont

The three-step decomposition shows where ROE comes from and where it is going.

Net profit margin	×	Asset turnover	×	Equity multiplier	=	ROE
33.1%		0.23x		2.17x		16.2%
FY26		revenue / assets		assets / equity		

This is a classic infrastructure signature: an exceptional margin multiplied by a very low asset turnover, geared up modestly. Leverage is not what drives ROE: an equity multiplier of 2.17x is ordinary for an asset-heavy operator. Margin does all the work against a heavy asset base. The implication for the forecast is that ROE improves only if asset turnover improves, which means filling the 69.1% utilisation before adding capacity.

Read-through: Returns have recovered steadily from the FY21 trough but on our capital-employed basis still sit close to the 12.56% cost of capital and not clearly above it.

Incremental returns on invested capital

ROIIC profile (INR Cr, %)

Measure	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
NOPAT	3,966	4,208	4,120	3,805	5,280	5,570	7,391	9,838	11,921	14,936
Invested capital	37,763	40,305	46,117	48,385	61,596	79,089	94,489	94,617	107,284	151,041
Δ NOPAT	n/a	242	-87	-315	1,475	289	1,821	2,447	2,083	3,015
Δ Invested capital	n/a	2,542	5,811	2,269	13,211	17,493	15,400	127	12,667	43,757
ROIIC	**n/a**	**n/a**	**-3.4%**	**-5.4%**	**65.0%**	**2.2%**	**10.4%**	**15.9%**	**1,636.3%**	**23.8%**
ROIIC 3-yr rolling	n/a	n/a	n/a	n/a	10.1%	6.8%	10.9%	9.9%	19.2%	26.8%

Source: Computed from Screener.in consolidated data

ROIIC measures what the company earns on the money it reinvests, which for a business about to spend INR 87,000 Cr is the most important return metric in this report. The three-year rolling series improved from 10.9% to **26.8%**, good, and better than the reported ROCE because incremental capital has been more productive than the legacy base.

Two cautions. The single-year FY24 figure of 1,636% is an artefact: invested capital rose only INR 127 Cr that year while NOPAT rose INR 2,083 Cr, so the ratio explodes. The rolling series is the one to read. And the FY26 reading of 23.8% comes with a INR 43,757 Cr increase in invested capital that is largely the NQXT acquisition, an *acquired* return rather than an organic one, and NQXT sits in the segment earning 8% RoCE.

The forward question is whether the INR 60,000 to 63,000 Cr of domestic capex earns closer to the 23% Domestic Ports RoCE or to the 8 to 10% the international and logistics segments currently return. Our forecast implicitly assumes the former, which is generous to management.

Forensic screens

Test	Value	Verdict	Interpretation
CFO / PAT (10-yr mean)	169.2%	PASS	Earnings convert to cash without qualification. A port has large depreciation and small working capital, so a high reading is structural rather than exceptional.
Receivables growth − Sales growth (5-yr avg)	-5.4 pp	PASS	Receivables have grown slower than sales for five years. No evidence of channel stuffing or loosening credit.
Inventory growth − Sales growth (5-yr avg)	-25.2 pp	PASS	Not a meaningful signal here, inventory is consumables and spares at 6.5 days.
Sloan accrual ratio (5-yr mean)	-5.1%	PASS	Negative accruals mean reported profit is backed by cash rather than by estimates. The opposite of the pattern that predicts future underperformance.
Interest coverage (latest)	3.7x	WATCH	The one soft reading. Adequate but not comfortable for an asset-heavy balance sheet, and interest rose 65% in FY26 on NQXT consolidation.
Altman Z' (book equity)	1.24	WATCH	Grey zone. Altman was calibrated on manufacturers, where a low asset turnover and heavy fixed assets signal distress. For a concession infrastructure operator those are the business model. We report it and decline to treat it as a distress signal.
Piotroski F-score	6/7	PASS	Fails only on "ROA improving". Passes profitability, cash generation, accrual quality, falling debt/assets and rising current ratio.

APSEZ passes every accrual and cash-conversion screen we can run, and passes them comfortably. For a company in a group that faced detailed allegations of accounting manipulation in January 2023, that is worth recording: **the reported numbers in this annual report behave like real numbers**. Cash follows profit, receivables follow sales, and accruals are negative.

Both WATCH flags are explicable and neither is a red flag. Interest coverage at 3.7x is a genuine constraint on further leverage but not on solvency. Altman Z' in the grey zone reflects a model misapplication rather than a finding.

What the screens cannot test is the thing we are actually worried about, which is not accounting quality but **capital allocation and concession renewal**. A company can report impeccable numbers and still overpay for assets or lose the licence that makes them valuable.

Auditor, related parties and contingent liabilities

Audit opinion

The consolidated financial statements carry an **unmodified opinion**, the auditor states they give a true and fair view. There is no qualification, adverse opinion or disclaimer. Key Audit Matters are disclosed across pages 644 to 647 of the annual report in the standard format, each paired with the procedures performed.

Contingent liabilities

Note 36 discloses contingent liabilities not provided for, and the striking thing is how **small** they are for a balance sheet of INR 1,85,315 Cr:

- Facilities availed by joint venture entities against company-sanctioned credit, **INR 74.39 Cr** (FY25: INR 104.35 Cr)
- Bank guarantees to government authorities and banks, **INR 291.54 Cr** (FY25: INR 280.54 Cr)
- Customs show-cause notices on port-related cargo duty, **INR 0.14 Cr**, with a deposit lodged and management confident no liability will crystallise

The aggregate is under INR 400 Cr, or roughly 0.2% of total assets. Contingent liabilities are frequently where infrastructure companies hide their problems; here there is very little to find.

Related-party transactions

This is the area that warrants attention. **Dues to related parties inside trade payables were INR 224.58 Cr** at 31 March 2026, up from INR 129.49 Cr, 8.2% of total trade payables. That is disclosed and not large.

The material related-party event sits outside the payables note. It is the **NQXT acquisition**: a 100% interest in a promoter-affiliated Australian coal export terminal, completed 23 December 2025, settled by issuing 143,820,153 new APSEZ shares, 6.24% of the company, to Carmichael Rail And Port Singapore Holdings Pte. Ltd.

The process was proper. It required and obtained majority-of-minority approval, RBI clearance and Australian Foreign Investment Review Board approval. The consideration shares are 100% locked in. Nothing in the disclosure suggests impropriety.

The economics are another matter. APSEZ issued equity at an implied ~INR 1,570 per share to buy an asset into the segment that earns **8% RoCE** against a group WACC of 12.56%. NQXT is a coal terminal, acquired at the point where coal-linked infrastructure faces both energy-transition and financing headwinds. Minority shareholders were diluted 6.24% for it. Whether that was a good trade will not be answerable for several years, and it is the transaction a sceptical reader should keep in view.

Management commentary, Q4 FY26 earnings call

What management said

The Q4 & FY26 call was held on 30 April 2026, hosted by JM Financial, with CEO Ashwani Gupta, CFO Krishna Menon, Head of Ports Pranav Choudhary, Head of Logistics Divij Taneja and IR head Rahul Agarwal on the line.

Guidance for FY27 was set at revenue of INR 43,000 to 45,000 Cr (11 to 16% growth), EBITDA of INR 25,000 to 26,000 Cr (9 to 14%) and capex of INR 12,000 to 14,000 Cr. Set against FY26 delivery of INR 38,736 Cr and INR 22,851 Cr, this is a marked deceleration from the 25% and 20% just posted.

Ambition 2031 was reiterated: revenue to INR 91,500 Cr and EBITDA to INR 52,000 Cr by FY31, implying 18.8% and 17.9% CAGRs, on a five-year capex plan of INR 84,000 to 92,000 Cr that takes domestic capacity from 653 MMT to 1 billion tonnes.

On the international book, management pointed to NQXT annualising and Colombo ramping. Q1 FY27, reported 29 July 2026, delivered on that: international EBITDA up 256% and volumes of 22.8 MMT against 7.7 MMT.

Our read

The FY27 guide is conservative and should be treated as such. Management beat the top of its revenue guidance in all four of FY23–FY26, by an average of 3.6%. Our forecast of roughly INR 46.7 Cr thousand for FY27 sits about 4% above the top of the range, consistent with that pattern.

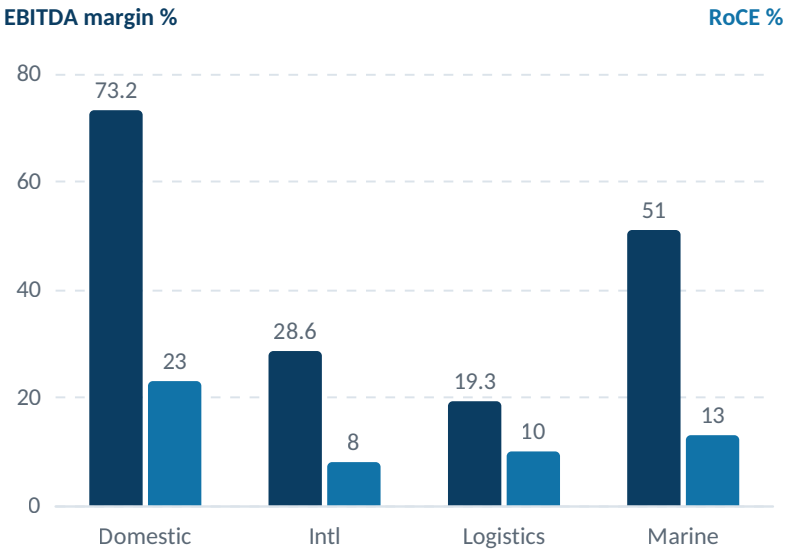
The capex guide should not be read the same way. It is the line management has missed most often and by the widest margins, 65% over in FY24, 33% over in FY26. We assume 31% of sales in FY27, above the guided 27 to 31% range implied by INR 12,000 to 14,000 Cr on INR 43,000 to 45,000 Cr, and our band warning on that assumption is retained rather than suppressed.

What went unaddressed. The transcript contains no discussion of the Mundra concession expiring in February 2031, despite management simultaneously committing INR 60,000 to 63,000 Cr of largely Mundra-led domestic capex over exactly that period. That is the question we would have put to management.

Limitation: the Q1 FY27 transcript is not published on a retrievable path, so Q1 commentary here is sourced from the company's 29 July 2026 media release and results filing rather than from a transcript. Management tone and Q&A for that quarter are therefore not reflected.

Four charts that carry the thesis

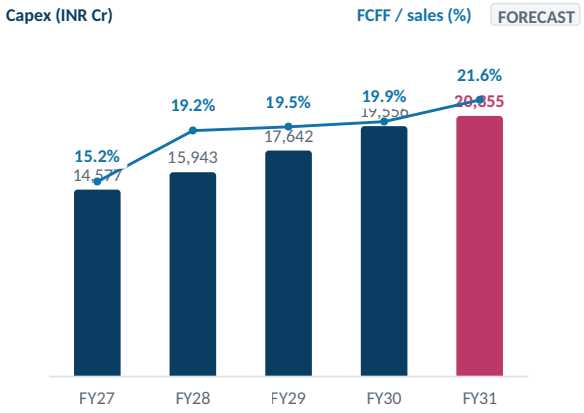
Segment EBITDA margin and RoCE



Source: FY26 media release (management-defined)

Read-through: Growth is concentrated in the 8 to 10% RoCE segments while the 23% RoCE segment grows slowest.

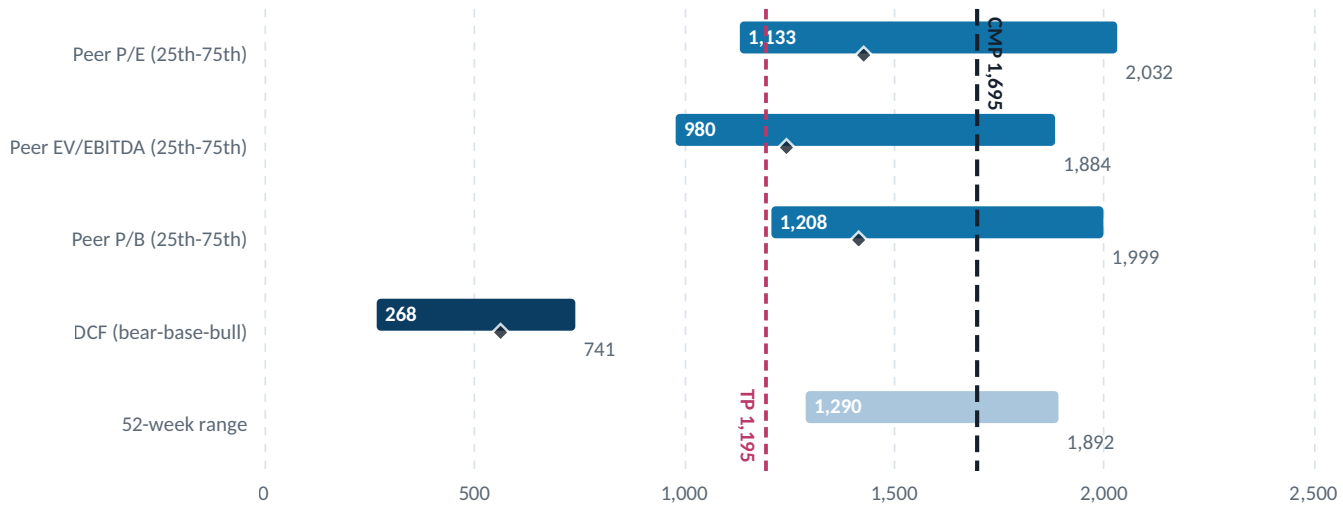
Capex and FCFF conversion, FY27 to 31E



Source: Model output

Read-through: Capex absorbs more than half of EBITDA every year of the forecast, holding FCFF below 22% of sales.

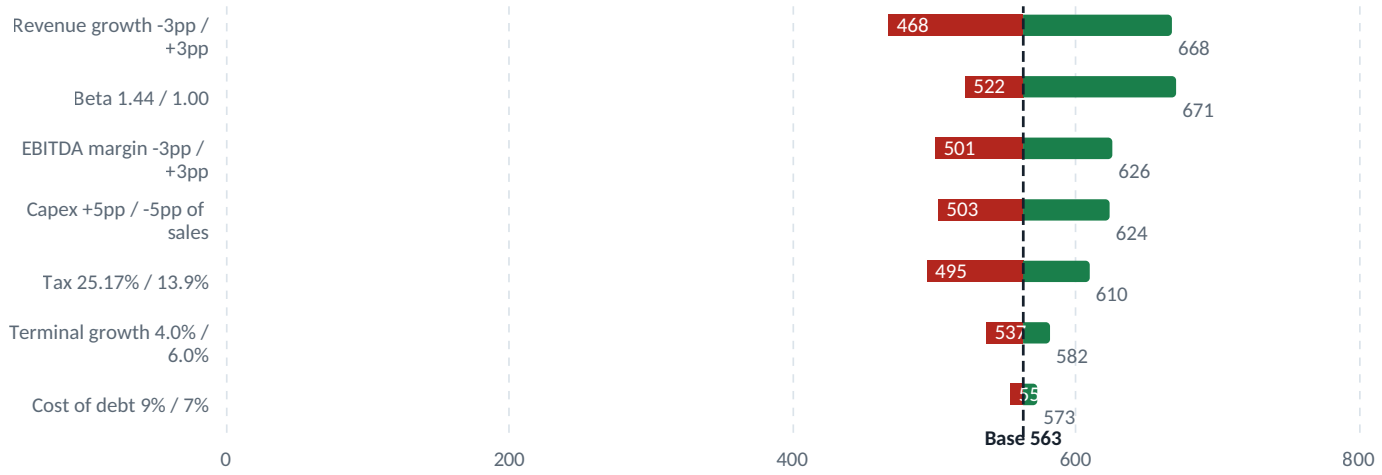
Valuation range by method



Source: Model output; peers.json

Read-through: Every method's midpoint sits below the market price, and the DCF range does not even reach the 52-week low.

What moves the valuation



Source: Model output, one driver flexed at a time

Read-through: Revenue growth -3pp / +3pp is the widest bar (INR 468 to 668); capex, worth INR 121 a share, is the line management has missed most.

Valuation, FCFF discounted cash flow (1/2)

The approved modeling strategy marks the FCFF DCF as the **PRIMARY** method, with EV/EBITDA as cross-check and SOTP and P/E as secondary. EV/Sales, NAV, FFO/AFFO and FCFE were ruled inappropriate, with reasons given on the following page. The revenue path is not assumed: it is derived from the four-segment build, each segment tying out to its reported FY26 base.

WACC build

Component	Value
Risk-free rate (10Y G-sec, 5 Aug 2026)	6.78%
Equity risk premium	5.5%
Beta (input, median of published estimates)	1.30
Beta (Blume-adjusted, 0.67b + 0.33)	1.201
Cost of equity (CAPM)	13.39%
Cost of debt (pre-tax)	8.0%
Tax rate	18.5%
Cost of debt (post-tax)	6.52%
Target debt weight	12.0%
WACC	**12.56%**
Discounting convention	mid-year

On beta. A peer-derived beta could not be computed: the Screener export carries only ten annual price observations and the regression requires monthly data. We adopt **1.30**, the median of four published estimates that disperse widely, Alpha Spread 0.75, GuruFocus 1.2339, TradingView 1.36, GuruFocus levered 1.44. The dispersion is itself informative: any five-year window spans the January 2023 collapse, which inflates long-window betas with what was an idiosyncratic governance shock rather than systematic risk. **The conclusion does not depend on this input.**: at beta 0.75 the value is INR 901, still 47% below the market.

FCFF forecast (INR Cr)

	FY27E	FY28E	FY29E	FY30E	FY31E
Sales	47,021	53,144	60,833	69,843	78,287
EBIT	19,886	22,799	26,496	30,797	34,609
NOPAT	16,207	18,581	21,595	25,100	28,206
D&A	7,622	8,024	8,483	9,013	9,623
Capex	-14,577	-15,943	-17,642	-19,556	-20,355
Δ NWC	-2,086	-434	-546	-639	-599
FCFF	**7,166**	**10,228**	**11,890**	**13,918**	**16,876**
PV of FCFF	6,750	8,565	8,846	9,199	9,909

All periods shown are projections.

Equity bridge (INR Cr)

Component	Value
PV of explicit FCFF	43,269
PV of terminal value	120,467
TV as % of EV	73.6%
Enterprise value	**163,736**
Less: net debt	-42,910
Add: non-operating assets	3,341
Equity value at 31 Mar 2026	124,167
Roll forward to 7 Aug 2026 (cost of equity)	5,633
Equity value	**129,800**
Shares outstanding (Cr)	230.4
Intrinsic value per share	**INR 563**
Current market price	INR 1,695
Upside / (downside)	**-66.8%**

Valuation, FCFF discounted cash flow (2/2)

The terminal value problem, stated

Terminal value is **73.6% of enterprise value**. Around 75% a DCF is a bet on terminal assumptions rather than on the forecast, and this one is. The five-year explicit period captures the entirety of an INR 87,000 Cr capital programme and only five years of the return on it.

The terminal value ties growth to the reinvestment that funds it: at a 10.5% return on new capital, APSEZ's own FY24-FY26 average, 5.0% growth needs 48% of NOPAT reinvested. Because that return is below the 12.56% WACC, faster terminal growth lowers the value rather than raising it (tornado: INR 582 at 4.0% against INR 537 at 6.0%).

The model's own cross-check makes the tension unavoidable. The perpetuity implies an **exit multiple of 4.6x EV/EBITDA** on terminal-year EBITDA of INR 44,232 Cr. The port peer median is **14.6x** and APSEZ itself trades at 19.2x. Applying a 14.0x exit instead produces a terminal value of INR 619,249 Cr and a value per share of **INR 1,667**, against INR 563 on the perpetuity, and 2% below the market price.

The market price therefore holds only on an exit-multiple convention. That is the position of where this valuation sits. The perpetuity and the multiple are not two estimates to be averaged; they are two different assumptions about what happens to a concession-based asset after FY31.

Why FY31 is not an arbitrary horizon

The Mundra concession runs 30 years from 17 February 2001 and expires **16 February 2031**. The CT-1 and CT-3 sub-concessions are co-ter-minus. Only the West Basin extension runs to 2040. Mundra is 274 MMT of 653 MMT of domestic capacity and handled 192 MMT in FY26.

A perpetuity assumes cash flows continue indefinitely. A 14.6x exit multiple assumes a buyer would pay a full sector multiple in the year the largest asset's licence lapses. **Neither is disclosed as secured.** Management's behaviour implies it expects renewal, you do not commit INR 60,000 to 63,000 Cr of largely Mundra-led capex otherwise. That remains an inference.

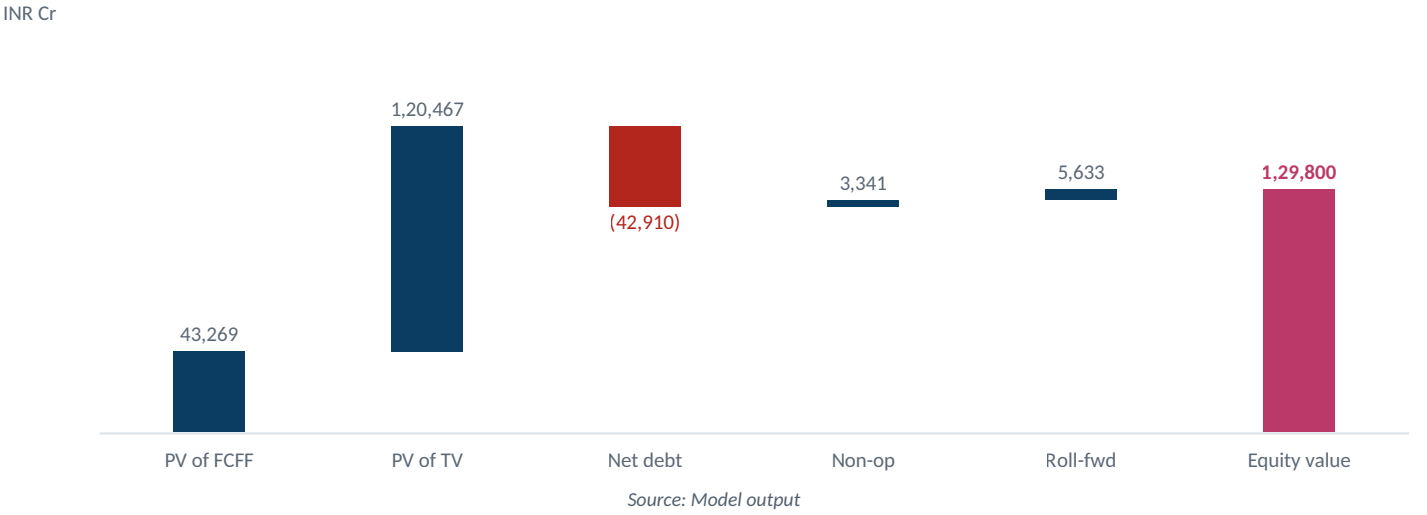
Sensitivity, WACC × terminal growth (INR/share)

WACC Terminal growth	4.0%	4.5%	5.0%	5.5%	6.0%
11.6%	688	683	677	670	661
12.1%	632	625	616	606	594
12.6%	582	574	564	552	537
13.1%	538	528	517	504	489
13.6%	499	488	476	462	446

Source: model output

Read-through: across the entire plausible grid the value ranges INR 446 to INR 688. The market price of INR 1,695 is not reachable by flexing the discount rate or the growth rate.

Enterprise value bridge (INR Cr)



Source: Model output

Read-through: Three-quarters of enterprise value is terminal value, which is why the exit-multiple convention decides the answer.

The three scenarios are set out in full on the verdict page. The point to carry here is that the bull case, which assumes Ambition 2031 is broadly delivered, the SEZ tax shield persists and capex lands at the bottom of the guided range, still values the equity at INR 741 on a perpetuity basis. The perpetuity method does not reach the market price under any assumption set we consider defensible.

Relative valuation

Peer comparables, consolidated, priced 7 August 2026

Company	Price	Mkt cap (Cr)	EV (Cr)	P/E	EV/EBITDA	EV/Sales	P/B	ROE %	EBITDA %
Adani Ports	**1,695.0**	**390,521**	**448,459**	**29.8**	**19.2**	**11.1**	**4.1**	**16.6**	**57.9**
JSW Infrastructure	327.5	68,775	73,356	46.3	27.2	13.1	6.3	14.4	48.3
Gujarat Pipavav Port	151.3	7,313	6,673	14.6	9.4	5.8	3.4	23.4	61.2
CONCOR	512.0	31,196	28,673	25.1	14.6	3.2	2.4	9.8	21.6
Peer median	327.5	31,196	28,673	25.1	14.6	5.8	3.4	14.4	48.3
Adani Ports premium / (discount)	**+418%**	**+1152%**	**+1464%**	**+19%**	**+32%**	**+91%**	**+21%**	**+15%**	**+20%**

Source: Screener.in exports, all consolidated and struck the same day. GMR Airports was excluded from the bands: its FY26 PAT of INR 176 Cr gives a 641x P/E and its book value is negative, so P/E and P/B are not meaningful. Its 26.9x EV/EBITDA is noted as a cross-modal read-across.

APSEZ trades at a premium to its port peers

Against the three-peer port and logistics median, APSEZ trades at a **+19% P/E premium**, **+32% EV/EBITDA premium** and +21% P/B premium, while earning a +15% ROE premium. Part of that premium is earned. A 16.6% ROE and a 57.9% EBITDA margin are second-best in the set, and the scale advantage is enormous.

The premium still exceeds the return advantage. Gujarat Pipavav earns a **higher** ROE (23.4%) at a **lower** P/B (3.4x). JSW Infrastructure trades richer still at 27.2x EV/EBITDA, which tells you the market is paying for growth in this sector rather than for returns, and JSW is growing faster from a smaller base.

The relative-valuation bands, bridging peer multiples to a per-share value on APSEZ's own financials, give: P/E INR 1,133 to 2,032 (mid 1,428), EV/EBITDA INR 980 to 1,884 (mid 1,244), P/B INR 1,208 to 1,999 (mid 1,416). **Every midpoint is below the INR 1,695 market price.**

Methods the strategy ruled out, and why

EV/Sales is not appropriate. Segment EBITDA margins span 19.3% to 73.2%. A single sales multiple across that dispersion implies a margin structure the company does not have, and would mis-value exactly the mix shift now under way. The multiple is reported in the table because a reader can compute it; it carries no valuation band.

NAV is not appropriate. Concession and port assets are carried at depreciated historical cost rather than fair value, and the value lies in the cash the concessions generate rather than in asset recoverability. NAV suits a developer holding saleable land.

FFO/AFFO is not appropriate. APSEZ is not a REIT or InvIT and does not distribute on that basis.

FCFE is not appropriate. Leverage moved materially in FY26 through the NQXT share issue and two bond buy-backs. FCFE would embed a financing path that is a management choice rather than a property of the assets.

SOTP is secondary. The margin and RoCE dispersion is the classic SOTP argument, and we take it seriously enough to mark it SECONDARY. It is not the primary lens because the segments are vertically integrated around one cargo flow: Logistics and Marine exist substantially to feed and service the ports and have little standalone value.

Investment view, risks and what would change our mind

RATING	TARGET PRICE	CMP	DOWNSIDE
SELL	**1,195**	**1,695**	**-29.5%**
revised from REDUCE, 14 Oct 2026	INR, 10.0x FY31E exit EBITDA	INR, 7 Aug 2026	to target

How we get to INR 1,195

We do not average the methods. The perpetuity DCF (INR 563) and the exit-multiple DCF (INR 1,667) differ because they make different assumptions about FY31 and beyond, so the useful step is to take a view on that assumption rather than split it.

Our view: a 14.6x peer exit multiple is too generous for an asset whose largest concession lapses in the terminal year with renewal undisclosed, whose incremental capital is going into 8 to 10% RoCE segments, and which carries a residual group governance discount. A 4.6x perpetuity-implied multiple is too harsh for a network with 30-year asset lives and 69% utilisation. We take **10.0x**, a ~32% discount to peers, which gives **INR 1,195**. Under the house rating policy (SELL below -10%) the -29% to target makes the rating **SELL**; the 7 August note said REDUCE on the same view, and the letter changes because the policy is now applied mechanically, not because the business changed.

Why we are not more negative

This is a high-quality operating business. It passes every forensic screen, converts 169% of profit to cash, has halved its leverage, carries zero promoter pledge, has under INR 400 Cr of contingent liabilities on a INR 1.85 lakh Cr balance sheet, and holds a structurally protected position with 69.1% utilisation still to fill. The SELL rating is about price rather than quality.

Key risks to our view (i.e. what makes us wrong)

- **Mundra renewal announced early and on comparable terms.** This is the largest upside risk. It would justify a peer-level exit multiple and take fair value toward INR 1,737.
- **Capex discipline.** Our tornado shows a ±5 pp capex move swings value by INR 121. If capex lands at the bottom of guidance rather than overshooting as it has three times in four years, value rises toward INR 624.
- **Transhipment repatriation faster than modelled.** Vizhinjam hit 100% utilisation in month nine; we assume international utilisation reaches only 70% by FY31.
- **SEZ tax relief persists.** We fade the effective rate from 13.9% to a forecast average 18.5%. Holding 13.9% adds roughly INR 47 per share.

Falsifiers, specific, observable, dated

- **Mundra concession renewal is publicly confirmed on or before 31 March 2028.** If disclosed on comparable terms, our terminal-value discount is wrong and the rating should move to HOLD or better.
- **FY27 capex exceeds INR 15,000 Cr** against guidance of INR 12,000 to 14,000 Cr. A fourth overshoot in five years would confirm capital indiscipline as structural and take fair value below INR 1,000.
- **Domestic cargo volume growth falls below 5% in FY27.** Our forecast needs 8.6% CAGR; FY26 delivered 5%. Two consecutive years at or below 5% invalidates the volume path.
- **Consolidated EBITDA margin falls below 56% in any two consecutive quarters before FY28.** That would mean mix dilution is running ahead of our 50 bp-a-year fade.

Scenario summary, perpetuity DCF

Case	Weight	FY27 revenue growth	Terminal growth	Exit EBIT margin	TV share of EV	Value per share	Against CMP
Bull	25%	24.0%	5.5%	47.6%	71.9%	741	-56.3%
Base	**50%**	**21.4%**	**5.0%**	**44.2%**	**73.6%**	**563**	**-66.8%**
Bear	25%	16.0%	3.5%	36.2%	77.0%	268	-84.2%
Probability-weighted	100%					534	-68.5%
Our target, 10.0x FY31E exit EBITDA						**1,195**	**-29.5%**

Source: Each case re-runs the linked three-statement model and values its own free cash flow (scenario_runs.py). The cases use the perpetuity method; the target uses the exit-multiple method and therefore sits above all of them.

The three perpetuity cases span INR 268 to INR 741 and none reaches the current price. The honest statement of the position is that **the whole distance between INR 563 and INR 1,195 is a single judgement**: whether an asset base with an undisclosed Mundra renewal deserves 10.0x terminal EBITDA rather than the 4.6x a perpetuity implies. A reader who takes the perpetuity view should read this as a materially stronger SELL than the headline target suggests.

The bull case is not a thin construction. It assumes Ambition 2031 is broadly delivered, the SEZ tax shield persists, capex lands at the bottom of the guided range and terminal growth runs at 5.5%. It still values the equity at INR 741.

Analyst certification, methodology and disclaimer

Methodology

This report was built on a gated pipeline. Source documents, the FY2025-26 annual report (855 pages), the Q4 & FY26 investor presentation, the Q4 FY26 earnings transcript and the Ambition 2031 deck, were converted into a page-indexed knowledge base, from which 487 tables were extracted. Every figure in this report traces to a page in that base, to the Screener.in consolidated export, or to a cited external source.

The model architecture was approved before any assumption was set: four management-defined segments, three on capacity × utilisation × realisation and one on volume × price, with the FCFF DCF marked PRIMARY. The revenue path is derived from that segment build rather than assumed. A separate linked three-statement model was built and its cumulative FCFF agrees with the DCF's own projection to **2.7%**.

Analyst certification

The views expressed accurately reflect the analyst's personal views about the subject company and its securities. No part of the analyst's compensation was, is, or will be directly or indirectly related to the specific recommendation or views expressed in this report.

Stated limitations

- The four-segment split is management-defined and **unaudited**; the statutory note discloses only two segments.
- Beta is not peer-derived, the price series required was unavailable. Sensitivity across the published range is given.
- Trade payables have a two-year history only.
- Q1 FY27 commentary comes from the results release rather than a transcript.
- Bank credit growth and forex reserves were refused by the macro freshness audit and are omitted rather than quoted stale.
- Per-port throughput is disclosed for only four of fifteen domestic ports.

Disclaimer

This is an academic research project and is not a recommendation to buy, sell or hold any security. It has been prepared for educational purposes as a demonstration of equity research methodology. It is not investment advice, and it does not take account of the investment objectives, financial situation or particular needs of any person.

Information has been obtained from sources believed to be reliable, principally the company's own regulatory filings, but no representation is made as to its accuracy or completeness. Forward-looking statements involve assumptions that may not materialise. Past performance is not indicative of future results. Securities markets carry risk of loss of principal.

The analyst holds no position in the securities discussed and has no business relationship with the subject company.

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All figures in INR crore unless stated. Multiples in x, margin changes in bps.